FinScope Micro, Small and Medium Enterprises Survey Lesotho 2023



Findings Report

Contents

List of Figures	**4**
List of Tables	**5**
Acknowledgements	**6**
Glossary of terms	**7**
Executive Summary	**8**
Introduction	**10**
Methodology	**12**
Sampling frame	12
Questionnaire design	13
Fieldwork and quality control	14
Data submission, cleaning and weighting	14
Background on the Lesotho Economy	**16**
Private sector development in Lesotho	18
The role of MSMEs in economic development	18
Institutional framework to promote MSME development	18
Current MSME Development Projects	**20**
The Competitiveness and Financial Inclusion (CAFI) Project	20
The Millennium Challenge Corporation (MCC)	20
The Smallholder Agricultural Development Programme	20
Lesotho Enterprises Assistance Programme (LEAP)	21
MSME Owner Profile	**22**
Age	22
Gender	22
Level of education	24
Motivation for starting a business	24
Location and business premises	25
Personal income	26
Sources of start-up capital	27
The MSME Sector in Lesotho	**28**
Business sector	31
Business size	32
MSME job creation	34
Business support and impact of shocks	34

Impact of the Covid-19 pandemic and mitigation 36

Formalisation (business registration or licensing) among MSMEs 36

Business lifecycle (business age) 38

Financial Services and Product Uptake and Usage 40

Overlaps and the Financial Access Strands 41

Financial access and usage 43

Bank account: Access and usage 44

Mobile money account ownership and usage 46

Access to credit 46

Savings and investment 48

Insurance and risk mitigation 49

MSME Financial Health 51

Defining MSMEs' financial health indicators 51

Lesotho MSME Financial Health Indicator 51

Computing the FinHealth index 52

Applying the MSME FH framework 53

Conclusions and Implications for Stakeholders 56

References 60

List of Figures

Figure 1: Lesotho MSME Policy Strategic Pillars 11

Figure 2: Age of MSME owners (% of MSME owners) 23

Figure 3: Business size by gender (%) 23

Figure 4: Level of education of MSME owners (%) 24

Figure 5: Reasons for starting a small business (% of MSMES) 24

Figure 6: Location of MSME owners (%) 25

Figure 7: Business size by district (%) 25

Figure 8: Source of start-up capital (%) 27

Figure 9: Business sector in which MSMEs operate (%) 31

Figure 10: Business size (%) 35

Figure 11: Business size by level of education (%) 35

Figure 12: Share of full-time employees by sector (%) 36

Figure 13: Awareness of business support organisations (%) 37

Figure 14: Negative impact of social unrest on business (%) 38

Figure 15: Formal businesses by sector (%) 39

Figure 16: Formal businesses by size, sex and location (%) 40

Figure 17: Government assistance to formalise (%) 40

Figure 18: Business lifecycle (%) 41

Figure 19: Financial Inclusion Framework 42

Figure 20: Overview of financial uptake (with overlaps) 43

Figure 21: Overlaps and Financial Access Strand (%) 44

Figure 22: A cross-country comparison of MSME Financial Access Strand 44

Figure 23: Financial Access Strand by Sector (%) 45

Figure 24: Financial Access Strand by business size and life cycle (%) 46

Figure 25: Banking drivers 47

Figure 26: Barriers to banking (%) 47

Figure 27: Mobile money account ownership among MSME owners (%) 48

Figure 28: Credit Strands for MSME owners (%) 48

Figure 29: Credit Strand by gender and by MSME size (%) 49

Figure 30: Barriers to credit (%) 50

Figure 31: Savings Strands (%) 50

Figure 32: Insurance Strands (%) 51

Figure 33: Barriers to insurance (%) 52

Figure 34: MSME Financial Health Framework 54

Figure 35: MSME Financial Health scoring and segments 54

Figure 36: MSME Financial Health levels 55

List of Tables

Table 1: Number of selected EAs by `District' and MSME targets 13

Table 2: Targeted sample versus achieved samples 14

Table 3: Overview of the methodology 15

Table 4: Summary of value chain opportunities and challenges - Lesotho 17

Table 5: Personal monthly income by size (%) 26

Table 6: A cross-country comparison of MSMEs in Lesotho vs other countries 29

Table 7: Business monthly turnover by sector 30

Table 8: Business monthly profit by sector 30

Table 9: Monthly turnover by business size (mean) 31

Table 10: MSME definition by the Revised Lesotho MSME Policy 2021-2026 32

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Glossary of terms

Term	Definition
Access Strand	A measurement of financial inclusion across the formal-informal institutional provider continuum
Adults	People aged 18 years or older
Banked	Business owners who use one or more traditional financial products supplied by commercial banks
Credit	Obtaining funds from a third party with the promise of repayments of principal and, in most cases, with interest and arrangement charges in exchange for money
Demand-side barriers	Demand-side barriers to accessing financial services relate to characteristics inherent to individuals that prevent them from using financial services, such as perceived insufficient income, low levels of financial literacy and lack of trust in financial institutions.
Enumeration Area (EA)	A well-identified territorial unit with the prescribed population size (usually about 80 to 120 households) in which enumeration is to be carried out by a single enumerator within a specified period of enumeration
Other formal (non-bank)	Financial products or services supplied by formal financial institutions that are not banks
Formal products	Products provided by government-regulated financial institutions such as commercial banks, insurance companies and microfinance institutions
Formally included	MSME owners use formal financial products supplied by institutions governed by a legal precedent of any type. This is not exclusive usage, as these individuals may also use informal products.
Financial Access Landscape	A measurement of usage of both formal and informal products across the four main product groups: transactions, savings, credit and insurance
Financially served	MSME owners using one or more formal and or informal financial products or services
Financially excluded	MSME owners who are not using any formal or informal financial products or services
Financially inclusion	The extent to which the Business owners in the country engages with financial products and services, whether formal or informal, such as savings, transaction banking, credit and insurance.
Informal products	Financial services provided by individuals and or associations that are not regulated by the government, such as savings clubs and private moneylenders
Informally only served	MSME owners who are not using any formal financial products but who are using one or more financial products or services offered by an informal source, such as a savings club or informal moneylender
Informally served	MSME owners who make use of informal financial products (regardless of whether or not they use formal financial services and products).
MSME	MSMEs are defined by the number of employees (according to the Revised Lesotho National MSME Policy of 2021) who employ fewer than 50 employees and have an annual turnover of up to M5 million. For the study, only the number of employees was used to segment the sector from independent (0 employees), micro (1-5 employees), small (6-20 employees) and medium (21-50 employees).
Insurance	Payment of a premium for the risk of an event, where the payout is made if or when the event occurs.
Supply-side barriers	Supply-side barriers to access to financial services are related to factors inherent to financial service providers that prevent individuals from using their services, such as the location of access points and the cost of using their services.
Transactional	Financial services that use cash or other means (such as cheques, credit cards, debit cards or other electronic means) to send or receive payments.
Formal MSME	MSME owners have either registered their business with an authority such as the Registrar of Companies or licensed with the Ministry of Commerce, Industry and Trade or have a permit to operate from an authority such as the municipality.



Executive Summary

The Lesotho Government continues to prioritise the Micro, Small, and Medium Enterprises (MSME) sector as it recognises these businesses' critical role in fostering economic growth, generating employment, and lowering poverty. Therefore, a repeat FinScope MSME survey was conducted in 2023 to fully understand and meet the information needs. The objective was to describe the current MSME landscape by determining the size and diversity of MSMEs in Lesotho and the extent of formal and informal financial product and service access.

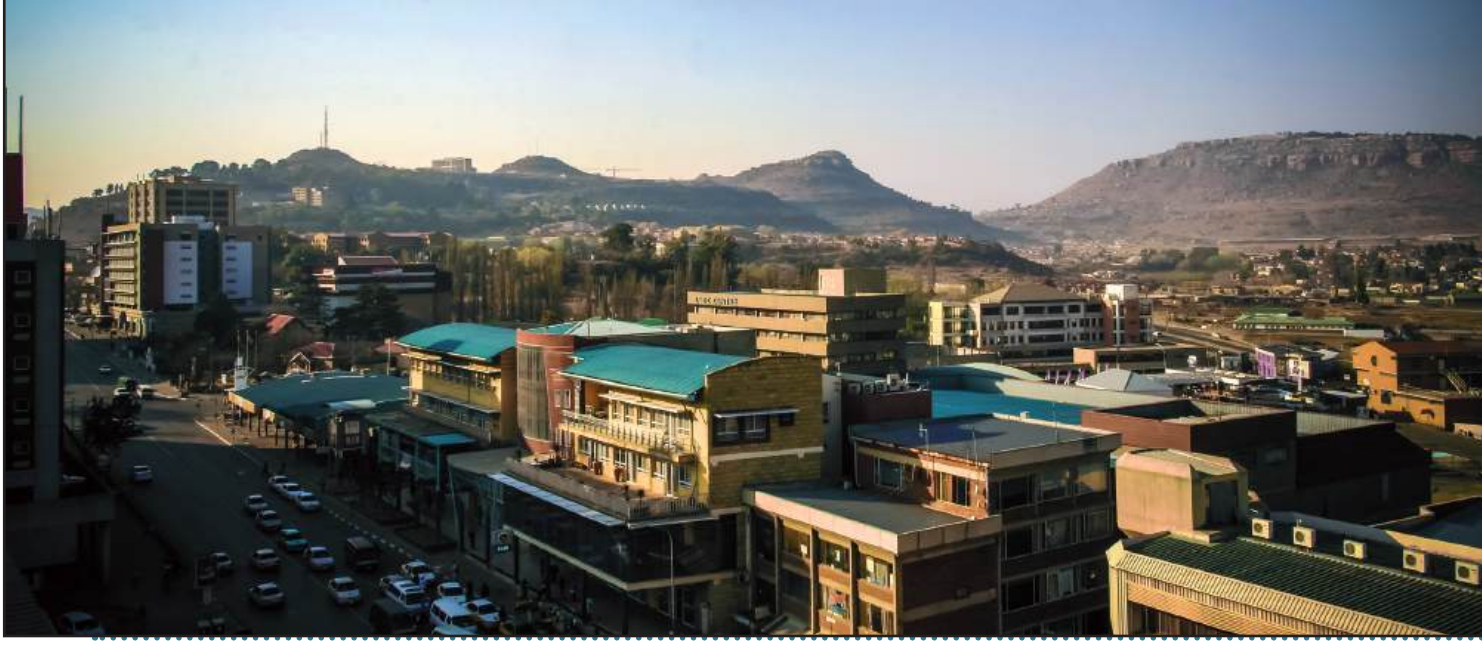
The findings show that more than half of business owners in Lesotho rely on their MSME businesses as their primary source of income. The dependency on business has dropped since 2016, possibly due to the effects of the Covid-19 pandemic and the Russia-Ukraine war. The pandemic caused lockdowns, disrupted supply chains, and reduced consumer demand, severely impacting MSMEs' operations and revenue. The war drove up oil prices, increasing fuel and production costs for MSMEs, while further exacerbating global supply chains and fuelling inflation, which reduced consumer spending and strained MSME profitability. Despite these, there has been a 41% increase in MSMEs since 2016, with most operating in the wholesale and retail sector and agriculture and farming.

Many MSMEs are in the start-up phase, with a higher death rate after this stage. Young entrepreneurs constitute 33% of MSME owners, indicating the sector's potential in alleviating youth unemployment and contributing to the government's efforts to promote economic empowerment. The start-up phase has more female business owners (56%) and declines as the business age approaches the growth and established phases, similar to the 2016 findings.

The MSME sector remains a significant source of livelihood for many women, with most running individual enterprises. The manufacturing sector has doubled, indicating a growing potential contribution to industrialisation by the MSME sector.

In 2023, a slightly larger proportion of formal MSMEs are registered or licensed, with 24% having formal status compared to 18% in 2016. This increase is largely due to improvements in sampling and sizing, as well as government efforts to improve business registration across the country. However, the small size of these businesses and the lack of obligation or incentive to register remain key drivers of informality among MSMEs. To bring most of this sector into the formal economy, authorities must simplify and streamline the registration processes and consider affordability issues.

Despite progress, access to finance remains a significant constraint during operation and growth. Challenges such as cost of finance, access to cashflow funds, and sourcing funds are some of the 'access to finance' issues raised as barriers, even those accessing formal finance mechanisms, such as bank accounts. These findings suggest that the formal financial market is not fully meeting business owners' needs.



Business development service (BDS) providers' awareness is moderate at 42%, but usage is substantially lower, with 22% of those who are aware having used an institution that offers BDS. Findings across the regions indicate that, broadly, BDS is viewed as ineffective by those who have received support, suggesting a misalignment between the support services provided and the actual needs of the business. Although awareness is high, the usage of business development remains low. In particular, business incubator interventions are often perceived as out of touch with the actual needs of businesses and their owners. This gap can be addressed, and effective support systems can be developed through additional qualitative research. The findings suggest that support services should be reevaluated to ensure they offer value to recipients from the demand side (MSME owners).

The financial landscape for MSME businesses is shifting, with more business owners adopting mobile money services for flexibility, convenience, and cost-effectiveness. Increased mobile phone ownership also drives banks to develop mobile wallets. In proportion, fewer business owners are banked in 2023 (34%), compared to 41% in 2016. The barriers to banking remain unchanged, with the most common ones affecting survivalist businesses, which do not perceive their operations or income as sufficient to justify bank products due to low and irregular earnings.

Expanding the sector will require sustained support from both the public and private sectors. The Covid-19 pandemic has highlighted the industry's ongoing need for government assistance in some cases and adoption of risk management mechanisms to remain resilient and grow. The MSME contributes significantly to the nation's GDP and provides a substantial number of jobs. The industry faces difficulties obtaining funding, managing cash flow, and complying with legal and regulatory requirements. Concerns about market access have been raised, and it may be necessary to consider industry protection and competition.

Introduction

MSMEs are at the heart of Lesotho's economic landscape and serve as an engine for local economic development. These enterprises account for a significant proportion of employment and play an important role in promoting economic growth and reducing poverty by fostering innovation, providing entrepreneurial support and promoting inclusive growth. Given Lesotho's unique socio-economic landscape – a landlocked nation characterised by high unemployment rates (22.5%)[1] , informality and widespread poverty – robust policies to support MSMEs are vital to the sector.

The policy environment for the MSME sector is outlined in the Revised Lesotho MSME Policy 2021-2026 and the Lesotho National Financial Inclusion Strategy (NFIS II). These policies include targeted approaches that support entrepreneurs and small businesses by improving and developing the business climate. The goal is to unlock the sector's potential to create jobs, increase tax contributions and boost national income. These policies also aim to stimulate entrepreneurship among marginalised populations, such as women, youth and disadvantaged groups. The study aligns directly with the main strategies outlined in the policy, aiming to provide a clearer understanding of the current MSME landscape, uncover the ecosystems, and apply segmentation to identify key subsegments. This paves the way for the government to work towards its targeted goals.

Climate change, extreme weather and global economic shocks pose a significant challenge to the development of the agriculture sector. These have led the Lesotho government to introduce new policies centred around the green economy and green growth[2]. Consequently, Lesotho's commitment to a green economy has begun influencing the MSME sector. Pursuing the fifth strategy of cross-cutting issues, the revised Lesotho MSME policy aims to incentivise MSMEs to integrate environmental sustainability into their operations through resource-efficient technologies, renewable energy solutions, and eco-friendly business models. This push aligns with global trends toward a greener economy and supports Lesotho's goals for a low-carbon, climate-resilient economy.

The development of the MSME sector is an important goal, given its central positioning as a developmental objective within the Sustainable Development Goals (SDGs) and the SADC industrialisation and financial inclusion strategies. The MSME sector is a key global objective in the context of industrialisation, as outlined in the United Nations' SDGs adopted in 2015. Goal 9 emphasises the importance of resilient infrastructure, inclusive and sustainable industrialisation, and innovation, specifically highlighting the need to improve access to financial services, including affordable credit for small-scale enterprises in developing countries. This goal also emphasises the integration of these enterprises into value chains and markets. MSMEs can also contribute to achieving Goal 8: 'Inclusive and sustainable economic growth, employment and decent work for all', as well as Goal 5, which refers to gender equality.

Within the SADC context, MSMEs are also recognised as effective drivers of industrialisation, economic growth and employment generation. They represent over 90% of all businesses, accounting for significant employment and gross domestic product proportions. However, the SADC financial inclusion strategy identifies limited access to finance for MSMEs and agricultural production and agro-processing stakeholders as key barriers to industrialisation. Financial institutions fall short in adequately serving these sectors, which limits their ability to grow and prosper. To address this, expanding payments and digital financial services, together with driving financing options toward MSMEs and smallholder farmers, are essential to advancing financial inclusion for these sectors.

Based on global policy frameworks, the MSME policy (2021) outlines five strategic pillars considered crucial components of the MSME development ecosystem, as illustrated in Figure 1. While this report does not expand on each pillar in detail, the policy focuses on enhancing the business environment in Lesotho. This includes providing support systems for entrepreneurs, ensuring the availability of high-quality financial instruments, and promoting inclusive financial markets, among other initiatives.

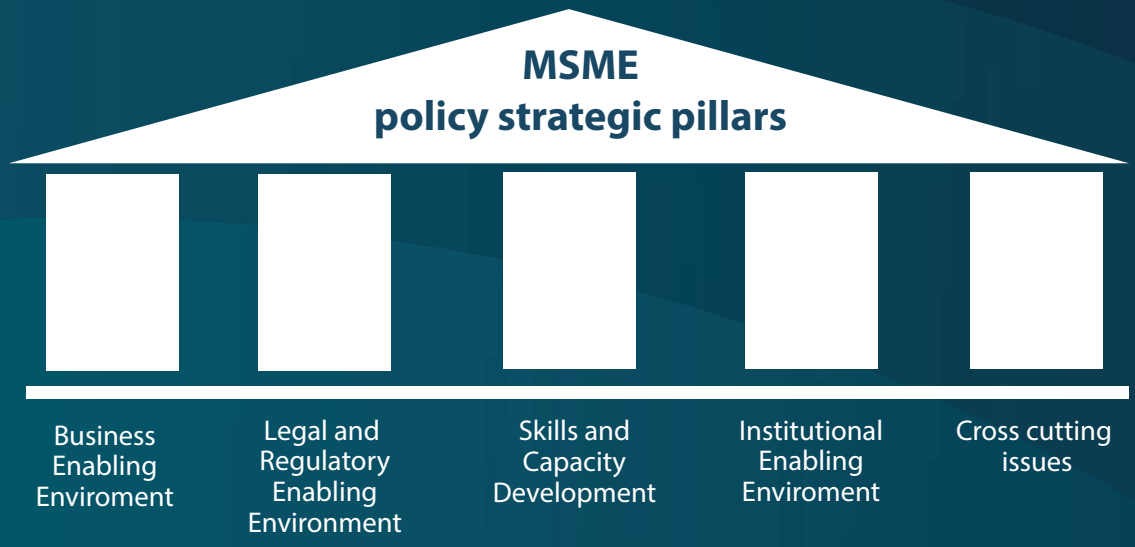


Figure 1: Lesotho MSME policy strategic pillars

Revised Lesotho MSME Policy 2021-2026

Methodology

The FinScope MSME Lesotho survey prioritised involving a wide range of stakeholders in a comprehensive consulting process as a key design element. This process aimed to enhance the survey and ensure that the findings would significantly benefit participants with a common interest in growing the sector. Spearheaded by the Ministry of Finance, a steering committee was established to oversee the survey's design, consisting of representatives from the Ministry of Trade, Industry & Business Development, FinMark Trust, the Central Bank of Lesotho (CBL), the Bureau of Statistics (BOS), Basotho Enterprise Development Corporation (BEDCO), and the United Nations Development Programme (UNDP). The technical procedures involved the collaboration of FinMark Trust, BOS, and the Ministry of Finance in Lesotho, reflecting a profound commitment to ensuring the survey's success and its potential to drive positive change within the MSME sector. To ensure consistency and comparability with past surveys, the approach for the Lesotho FinScope MSME 2023 Survey was designed to closely mirror the methods used in the 2016 survey conducted in Lesotho.

The FinScope MSME Survey is a nationally representative survey developed by FinMark Trust to understand the financial needs of MSME owners. The main goals of the repeat survey were to:

- Assess the size and scope of MSMEs in Lesotho
- Describe the levels and landscape of access to financial products and services (both formal and informal), as well as track the level of financial access since 2016
- Identify the most binding constraints to MSMEs' development and growth with a focus on access to financial markets
- Identify the drivers and barriers to financial access for MSMEs
- Identify and describe different market segments with specific development needs to stimulate segment-related product innovation and assist policy response by authorities.

Sampling frame

FinMark Trust, in collaboration with the BOS, developed the sampling frame for the survey. A random sampling strategy was used to select MSMEs in each chosen enumeration area (EA) to ensure a fair representation of the Lesotho MSME sector. The selection process was designed to encompass various formal and informal MSMEs, considering size, sector and location differences. Ten MSMEs were chosen in every urban and rural EA, with up to four replacements allowed for each EA, if necessary. However, in some EAs with fewer than ten MSMEs, more than six were identified, so no further sampling was needed, all were included in the sample. The replacements were intended for MSME owners who were unavailable or refused to participate.

The selection process for the survey carefully considered various factors to ensure a representative sample of MSMEs in Lesotho. To achieve this, the process:

- Excluded larger businesses (with more than 50 employees)
- Focused on medium and small businesses, given the overrepresentation of micro-enterprises
- Prioritised businesses with more employees (for richer insights)
- Ensured diverse sector representation, including less common ones
- Strived for gender balance and a mix of formal and informal enterprises.

By applying these criteria, the survey aimed to create a comprehensive and accurate snapshot of the MSME landscape in Lesotho to support informed decision-making. Table 1 displays the number of EAs selected per district and the corresponding MSMEs targeted.

District	Total EAs selected	Target businesses	EAs completed	Completed interviews
Botha-Bothe	12	104	12	120
Leribe	38	340	38	375
Berea	33	302	33	318
Maseru	84	780	84	808
Mafeteng	28	246	28	277
Mohale's Hoek	23	200	23	225
Quthing	11	100	11	108
Qacha's Nek	5	40	5	50
Mokhotlong	9	78	9	90
Thaba-Tseka	7	62	7	59
Total	**250**	**2,252**	**250**	**2,430**

Table 1: Number of selected EAs by `District' and MSME targets

Questionnaire design

FinMark Trust developed a comprehensive questionnaire, which was adapted and contextualised by the research house, Advision, to align with the context of the Kingdom of Lesotho. Following input from the steering committee, the questionnaire was further refined and enhanced to ensure it was appropriate and met all the survey objectives. The questionnaire underwent a translation process into Sesotho and back to English.

The resulting questionnaire emerged as a comprehensive instrument that delved into various themes related to MSMEs in Lesotho, encompassing aspects such as the characteristics and attributes of business owners, as well as the proportionate size and significance of the MSME sector in the overall economy.

The questionnaire also covered topics related to formal and informal financial access, such as the changing dynamics of financial supply and demand, the nature and scope of financial product access, including bank and non-bank usage and non-financial services, and the factors that support and impede MSMEs' ability to access financial resources.

Advision conducted a pilot study involving selected businesses in listed EAs in Maseru. This exercise, attended to by the steering committee and FinMark Trust for oversight and quality control, provided valuable insights into the survey instruments, data collector readiness, and overall implementation preparedness.

Fieldwork and quality control

The primary goal of the fieldwork was to gather comprehensive insights into the financial behaviours and requirements of Lesotho's households and businesses nationwide through in-depth interviews. To achieve this, a systematic and analytical approach was employed to engage the target sample across Lesotho's varied geographic regions and populations. This thorough approach resulted in a total of 2,430 interviews being conducted throughout the country.

Data submission, cleaning and weighting

After completing the fieldwork, the collected data went through a rigorous processing phase. Initially, the data was formatted for compatibility with the Statistical Package for Social Sciences (SPSS) software, followed by a thorough cleaning and coding process. The resulting dataset was submitted to BOS and FinMark Trust for further refinement, specifically focusing on weighting and validation. To address potential biases from non-response, the weights were precisely adjusted. Additionally, the data was meticulously benchmarked against the most recent estimates provided by the BOS to ensure that the final dataset accurately represented the characteristics of the adult population aged 18 years and older.

District	Drawn sample	Realised sample (unweighted)
Botha-Bothe	104	120
Leribe	340	375
Berea	302	318
Maseru	780	808
Mafeteng	246	277
Mohale's Hoek	200	225
Quthing	100	108
Qacha's Nek	40	50
Mokhotlong	78	90
Thaba-Tseka	62	59
Total	**2,252**	**2,430**
Settlement	**Drawn sample**	**Realised sample (unweighted)**
Urban	1,010	973
Peri-urban	250	236
Rural	992	1,221
Total	**2,252**	**2,430**

Table 2: Targeted sample versus achieved samples

Description	Details
Methodology	Computer Assisted Personal Interviews (CAPI)
Definition of MSME owners	Survey of MSME owners, defined as individuals who are: • 18 years or older • Perceive themselves as business owners/generating an income through some business activities • Employ fewer than 50 employees, including independent entrepreneurs without any employees.
Sample size	n=2,430 A nationally representative sample including urban, peri-urban and rural areas
Sampling frame	Stratified random sampling methodology
Sample area selection	250 EAs were selected
Questionnaire length	65 minutes
Fieldwork	November 2023 to January 2024
Data management	Weighting was done by the BOS and FinMark Trust

Table 3: Overview of the methodology

Background on the Lesotho Economy

According to World Bank figures, Lesotho's economy has been on a moderate growth path, with a GDP per capita of USD 878.01 in 2023. Lesotho is a small, low-middle income country surrounded by South Africa, with a population of approximately two million and more than half of the population in the three districts of Maseru (27%), Leribe (17%) and Berea (13%).

The economic performance of the country tends to follow regional norms. In 2023, it experienced an average domestic economic growth rate of 1.4%, an increase from 1.1% in 2022. The country's currency, the Lesotho Loti, is pegged to the South African Rand at a fixed exchange rate, which limits its ability to implement an independent monetary policy. In 2023, the Loti depreciated against all major currencies, including the Euro (12.58%), the pound (24.73%), and the US dollar (29.63%)[3]. Therefore, the government has limited fiscal space and relies heavily on revenue from the Southern African Customs Union (SACU), which increased by 61.4%, driven by higher regional trade volumes[4]. The public debt stock is estimated to have declined slightly to 57.5% of GDP in 2023, compared to 60.6% in 2022, mainly due to the redemption of treasury bonds[5].

Job creation remains a national priority as identified in the National Strategic Development Plan 2023/2-2027/28 (NSDP II). The Covid-19 pandemic has further exacerbated the high levels of unemployment, coupled with a decline in remittances. Despite the relatively high literacy rates, women and youth are more likely to be unemployed and have lower participation in the labour market. Due to a declining share of the public sector, and a private sector constrained by a weak business environment and limited competition, the MSME sector has become the biggest employer, with an estimated 255,420 adults working in the sector (up from 118,130 in 2016).

Even though many strategies concentrate on MSMEs, this sector has always been susceptible to economic shocks, climate change, and pandemics like HIV/AIDS (22.7%). While previous pandemics were limited to specific areas, Covid-19 and climate change have affected the world without discrimination (Tali & Musi, 2022)[6], resulting in unprecedented economic impact (Kowalczk-Anoil et al., 2021)[7].

Despite these setbacks, the primary sectors, particularly agriculture and manufacturing, showed improvement, although weather-related challenges and high input costs hampered further progress. The Government of Lesotho has identified commercial agriculture, manufacturing, tourism, and innovation and creative industry as key growth sectors[8] and aims to steer the wheel towards promoting these sectors, mainly due to their potential to substantially increase job creation, due to their labour-intensive nature. To accomplish this, they plan to strengthen the macro-fiscal sustainability, boost the investment climate's competitiveness, and put policies in place to boost productivity and diversify markets and products within these important growth areas.

The translation of the above to the sector is captured in the 2021 research conducted by FinMark Trust on the service and light manufacturing sector. The report highlights the low level of activity and the opportunities and challenges faced by MSMEs in Lesotho. The research notes that Lesotho's economy is uncompetitive, with a weak enabling environment. Compared to South Africa, Lesotho ranks poorly in terms of competitiveness across all categories. Factors like limited innovation capacity, labour market conditions, and infrastructure impede the expansion of Lesotho's industrial and service industries. The country needs to implement significant modifications to increase its competitiveness and create opportunities for MSMEs. Table 4 summarises the research and highlights limited markets and low competitiveness.

Sector or value chain identified	Expected sector growth	MSME presence	MSME growth opportunity	Key issues
Textile and clothing	Moderate • Benefits of the African Growth and Opportunity Act (AGOA) have stabilised.	Low • Sole textile mill is foreign-owned • Only three MSMEs in clothing production • Few local retailers mainly offer support services.	Moderate • Ancillary services to the mill • Support services for the clothing manufacturers • Clothing production for the local market.	• Low cotton production • Value chain dominated by corporates • Dependency on AGOA • Limited skills transfer • Limited factory shells for locals • Outside AGOA, competition from other • African markets • The economy is not large enough to accommodate • Production of synthetic fibres.
Wool and mohair	High • Increasing exports	Low • The value chain is highly underdeveloped, and there is generally low participation except in the ram and goat breeding value chain (farmers and shearers).	Moderate currently no value addition • Input support to farmers • Merchants • Ancillary services to scouring plant • Small-scale spinning for 'home knitting' • Synergies with the textile industry.	• Despite liberalisation in the auctioneering and brokerage of wool and mohair, Lesotho brokers face stiff competition from SA brokers and the Maseru Dawning Trading Company • Primary processing dominated by large corporates.
Automotive components	Indeterminate growth • Dependent on the South African national policy	Low • Dominated by large players	Indeterminate • Leverages its cheaper cost of labour to manufacture car components, e.g. seat covers • One automotive seat cover manufacturer has expressed interest in Ha-Belo to occupy the factory shells	• The new South African Automotive Masterplan (SAAM) – effective 2021 – seeks to deepen South Africa's value chains, and Lesotho's goods may not qualify as local content • South Africa's national policy will likely outweigh the benefits of the SACU industrialisation programme.
Handicrafts, leather and footwear	Moderate • Dependent on utilisation of AGOA	Low • There are only two footwear manufacturers – these are not MSME-owned.	Low • The Customs Union restricts protectionist policies against cheaper South African imports	• As highlighted in the previous cells.
Packaging and materials	Low • Decreasing exports	Low • Dominated by large corporates	• Requires high capital requirements and scale to be competitive in the export market	• As highlighted in the previous cells.
Consumer electrical and electrical appliances	Low • Decreasing exports	Low • Dominated by large corporates	Low • Dominated by large corporates	• Companies assembling electronic and electrical products are large multinationals.

Table 4: Summary of value chain opportunities and challenges - Lesotho

Private sector development in Lesotho

Lesotho's private sector, although small, holds immense potential for growth and transformation. The government has a mandate to create an enabling environment for the development of the private sector, recognising its role as a driver of productive capacity and structural changes required to achieve sustainable development in Lesotho.

The government has implemented various national strategies to create a conducive private sector, including the National Development Plan (NDP II). The NDP II aims to promote inclusive and sustainable economic growth, focusing on the four productive sectors: agriculture, manufacturing, tourism and creative industries, and technology and innovation. The strategy also includes strengthening skills development through industry partnerships, which is considered an essential measure to transform MSMEs, particularly those in the informal sector.

The role of MSMEs in economic development

Most economies, including Lesotho, rely heavily on the MSME sector to drive innovation, economic growth, and job creation. With adequate support and resources, MSMEs can significantly contribute to the country's GDP and employment opportunities, particularly for women and youth entrepreneurs. As part of a thriving private sector, the development of MSMEs promotes sustainable and inclusive growth, with a strong focus on creating jobs. According to the revised Lesotho MSME Policy, the MSME sector has the potential to generate over 30% of new jobs and contribute up to 20% to the country's GDP by 2026. Additionally, the MSME sector is expected to play a crucial economic role, including the youth, who comprise 40% of the population. Nationally, 29% of the youth are unemployed, with higher unemployment rates in rural areas.

Institutional framework to promote MSME development

The MSME sector contributes approximately 40% of the country's manufacturing output and nearly 35% of the country's aggregate exports (Revenue Services Lesotho, 2019). It is estimated that most businesses in the country are found in the MSME sector, employing more than half of the new employment seekers. This sector contributes nearly 3% of the GDP and 30% of the country's total employment (Revenue Services Lesotho, 2019).

Governmental support for MSMEs extends beyond policy formulation and implementation. Many governments have established initiatives supporting MSMEs through resources such as finances (Rankhumise & Masilo, 2017). In recent years, the Government of Lesotho (GoL) has introduced several programmes to aid MSMEs in their efforts to achieve sustainable economic growth. Key government parastatal institutions like the Basotho Enterprise Development Corporation (BEDCO) and the Lesotho National Development Corporation (LNDC) facilitate these programmes to offer MSMEs advisory services and financial support.

These institutions collaborate with different multinational organisations to work on projects aimed at strengthening the resilience of MSMEs so they can withstand economic downturns, avoid failure, and contribute to important socio-economic objectives such as job creation, improved access to markets and finance, and overall MSME development in Lesotho.


MASERU
Blue Mountain Pass
Mohale Dam
2880
Thota-ea-Moli
2634
Mokhoabong Pass
3095
Thaba Putsoa
LESOTHO
Sehlabathebe National Park
Mohale's Hoek
Mount Mootsoi
Champagne Castle
Giant's Castle
Khahlamba-Drakensberg Park
Impendle
Underberg
Riverside
EASTERN CAPE

Current MSME Development Projects

The Competitiveness and Financial Inclusion (CAFI) Project

CAFI is a project under the Ministry of Trade, Industry and Business Development funded by the World Bank. The project is set to run for six years, from July 2022 to June 2028. CAFI will build on important initiatives already underway, including the One-Stop Business Facilitation Centre (OBFC), the credit information bureau, the collateral registry, and the LNDC partial credit guarantee. The key objectives of this project are to increase formality within the MSME sector, strengthen the credit infrastructure systems and support access to finance. The project is also parent to incubation programmes like the Lesotho National Farmers Union (LENAFU); the project incubates youth and women into horticulture farmers and the Entrepreneurship Hub and Seed Financing Facility, which is an incubation hub focusing on providing access to seed financing for innovative start-ups and entrepreneurial ideas, especially from women and youth within the MSME sector.

The Millennium Challenge Corporation (MCC)

MCC partners with the world's poorest countries, committed to just and democratic governance, economic freedom, and investment in their populations. Through the Lesotho Health and Horticulture Compact, MCC has availed USD300 million over five years in various areas, including financial inclusion. The compact primarily invests in health and horticulture, promoting climate-smart irrigation infrastructure to enhance water conservation methods, rehabilitate health infrastructure and strengthen health systems.

The Smallholder Agricultural Development Programme

The Smallholder Agriculture Development Project II has been operational since 2019 and is set to conclude by 2026 (IFAD, 2024). This USD52 million project, with financial support from the World Bank, the Government of Japan and the International Fund for Agricultural Development (IFAD), supports the increased adoption of climate-smart agricultural (CSA) technologies in Lesotho's agriculture. It also focuses on enhancing commercialisation, improving food security, creating jobs, empowering women, promoting youth inclusion, and increasing dietary diversity among targeted beneficiaries (World Bank, 2024).



Lesotho Enterprises Assistance Programme (LEAP)

LEAP is a grant programme designed to enhance the business capacity of privately-owned Basotho MSMEs through financial and technical support. The primary goal of LEAP is to empower these businesses to boost their efficiency, productivity and market access. The programme provides cost-sharing grants, covering up to 80% of eligible expenses for enterprises and 75% for business associations. It allows a wide range of eligible expenditures to support MSMEs in improving their productivity, fostering growth, and enhancing their resilience to climatic shocks. There is a significant demand for LEAP interventions, and the Government of Lesotho is currently exploring the programme's continuation through its own funds.

Overall, the developments in the MSME sector in Lesotho since 2018 reflect a concerted effort by the government and stakeholders to support small businesses and drive inclusive growth. By implementing programmes, initiatives and policies that address the specific needs of MSMEs, Lesotho is laying a solid foundation for sustainable development and poverty reduction. Continuing investment in the MSME sector will be crucial to unlocking its full potential and maximising its economic impact. Accordingly, the repeat study of the FinScope MSME aims to track the impact of these initiatives in growing the sector and addressing the structural barriers that were revealed in the baseline of 2017, as well as surface emerging obstacles and trends.

MSME Owner Profile

The kingdom's entrepreneurship ecosystem is still in need of development. Many MSMEs operate in the informal sector, primarily out of necessity due to the high unemployment rate (22.5%) and scarcity of job opportunities. The FinScope survey is aligned with the second National Financial Inclusion Strategy (NFIS II) goal of supporting the growth of MSMEs with a focus on the productivity and resilience of MSMEs and smallholder farmers (enterprises). The latest survey provides refreshed profiles of MSME owners, including insightful information about their age, location, gender and educational background. This data helps understand the distribution of entrepreneurial activity among various demographic segments by allowing the identification of districts with large numbers of entrepreneurs and providing guidance for focused support programmes.

Age

The type of finance of a business (formal or informal) and the general growth and success of a business are all significantly impacted by the business owner's age. Understanding entrepreneurs' culture, attitudes and perspectives is linked largely to their age. One can learn what ages are most likely to own businesses by classifying business owners according to their age.

The data in Figure 2 shows that more than half of MSME owners are adults in the prime working age of 35 to 54 years. A third (33%) of the MSMEs are owned by the youth aged between 18 and 34 years, a slight increase from 32% in 2016. In total, nearly three-quarters (74%) of the MSMEs are owned by Basotho under the age of 55 years, up from 71% in 2016, indicating a relatively young entrepreneurial base. As expected, MSME ownership decreases as age categories increase, a trend that has remained consistent from 2016 to 2023. The age distribution reflects a balanced mix of youth and experience among MSME owners, highlighting the potential of the MSME sector to address innovation and youth unemployment while supporting the government's initiatives to empower the nation's youth economically.

The sector has a below-average presence of youth (18-34 years) entrepreneurs at 33%. Most MSME entrepreneurs finance their start-ups and expansion using their own funds. At the early stage of their businesses, younger owners may not have enough capital to invest in their businesses. The lack of capital and business experience may potentially be the reason for the low presence of youth within the sector. This need calls for the government to provide a business environment with more support services for youth within the sector.

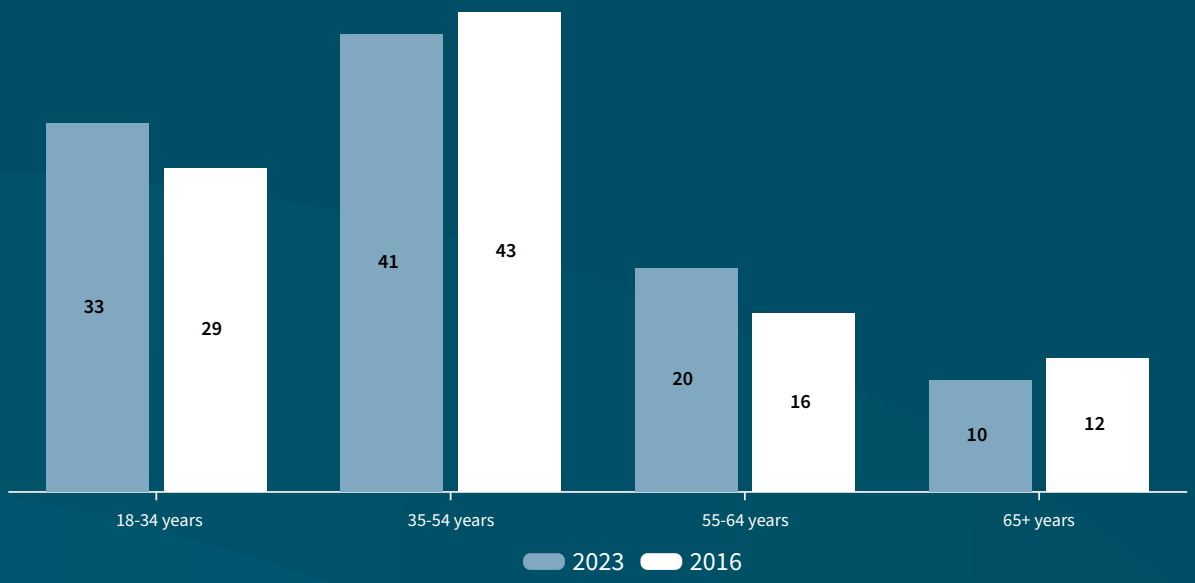


Figure 2: Age of MSME owners (% of MSME owners)

Gender

A comparative analysis of the gender distribution between 2023 and 2016 shows a consistent dominance of female-led businesses in the sector. There is a growing presence of males in the MSME space. In 2016, male entrepreneurs comprised 41% of the total business owners, whereas in 2023, there was a slight increase in the proportion of businesses owned by males to 45%, as shown in Figure 3. There is a significant difference between male and female business owners. Women are more likely to be individual entrepreneurs (80%) than men (59%). However, men dominate the medium-sized enterprise category, comprising 2% of business owners, while women make up only 0.3% in this category.

This disparity raises questions about the barriers women may face in scaling their businesses, which may be attributed to lower educational attainment and limited formal employment opportunities, leading many women to engage in self-employment as a means of survival rather than entrepreneurial motivation. Qualitative research conducted by FinMark Trust has revealed that keeping the business small is intentional, as this allows female entrepreneurs time for other household duties, such as caregiving and voluntary exclusion, such as using the spouse's bank account due to tradition or religious norms.

Despite these disparities, the data shows that both male and female entrepreneurs face similar challenges in scaling their businesses. The majority of both genders are individual entrepreneurs or own micro-enterprises, indicating a shared struggle to access resources and support for growth. The findings also highlight a need for targeted support and resources for entrepreneurs in the micro-enterprise category, particularly for females.

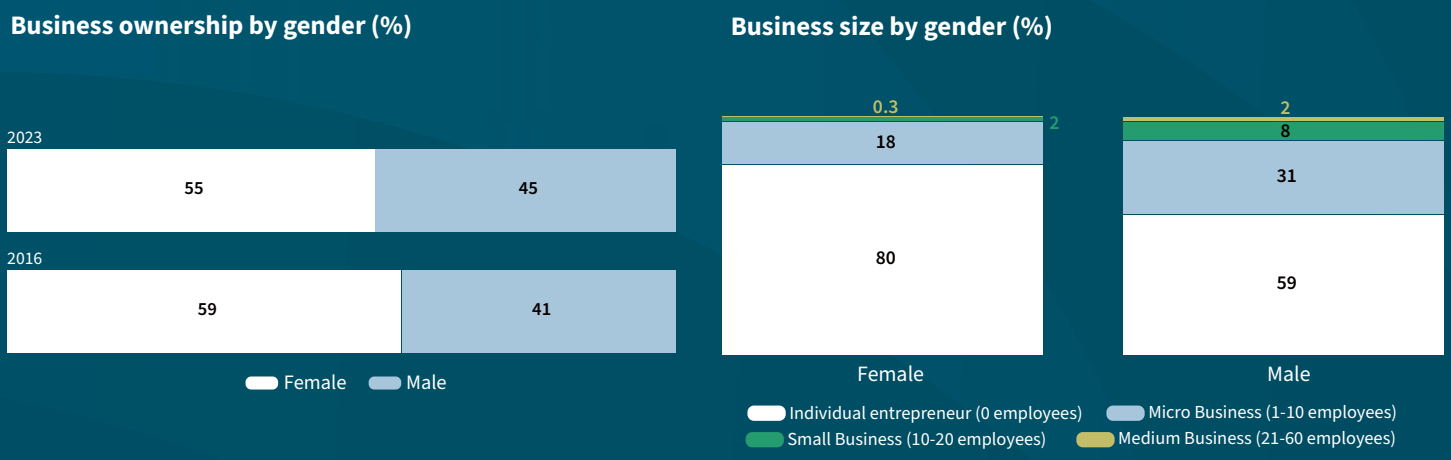


Figure 3: Business size by gender (%)

Level of education

In today's dynamic business landscape, embracing formal education or specialised training is essential for honing entrepreneurial skills and complementing innate talent. Studies demonstrate that higher education empowers entrepreneurs to identify opportunities, navigate risks and overcome obstacles with finesse. Research highlights that each additional year of schooling substantially amplifies a business owner's potential for profitability. Embracing continuous learning and leveraging education alongside inherent potential promises to unlock boundless possibilities in the thriving world of entrepreneurship.

The proportion of business owners who completed high school education has decreased by 8%, while the proportion of those with vocational education has remained constant at 2%. However, there has been a positive increase in the proportion of tertiary-educated entrepreneurs, rising from 12% in 2016 to 17% in 2023. Overall, there is a shift towards higher levels of education among entrepreneurs. As shown in Figure 4, 98% of MSME owners in Lesotho have at least a primary education, and more than half of MSME owners have completed high school.

Entrepreneurs with higher levels of education tend to have higher monthly incomes and employ more people. For instance, in 2023, 49% of entrepreneurs with tertiary education earned over M20,000, compared to 28% of those with primary education. Similarly, 41% of entrepreneurs with tertiary education employed five or more people, compared to 33% of those with primary education.

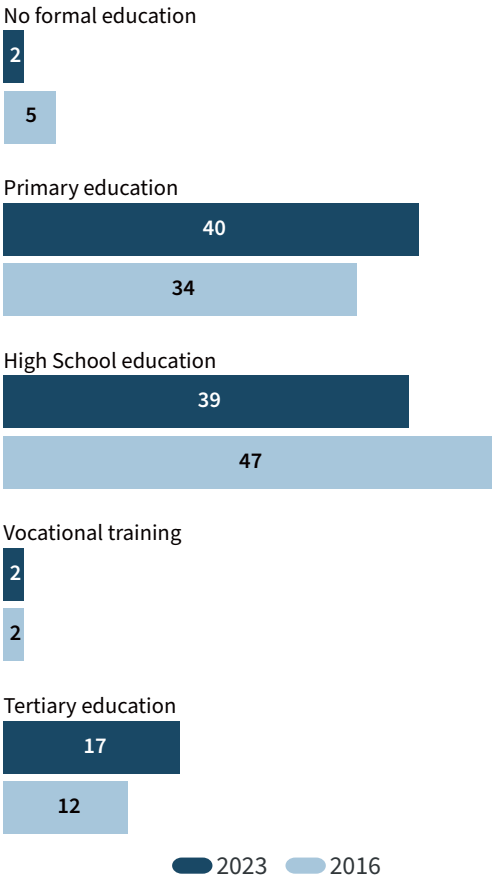


Figure 4: Level of education of MSME owners (%)

Motivation for starting a business

Research highlights that an entrepreneurial orientation is important for the survival and growth of small businesses. Individuals with a strong entrepreneurial mindset are more likely to establish profitable businesses than those driven primarily by financial struggles. By understanding the motivations behind starting a business, MSME support initiatives can tailor their programmes to address entrepreneurs' unique needs and aspirations, ultimately fostering a more resilient entrepreneurial ecosystem. The reasons for starting a business can be classified into three categories: entrepreneurial, desperate and other.

Entrepreneurial individuals are those who start their businesses in response to identifying an opportunity, being passionate about a specific product, or desiring to use their skills. Conversely, those classified as survivalists establish businesses due to unemployment and the challenge of providing for their families. Their circumstances differ from those of the former group, as they are compelled to run a small business because of limited opportunities in the job market.

Figure 5 illustrates that in 2023, more individuals (66%) are starting businesses driven by entrepreneurial motivations (innovation, opportunity, etc.) rather than just survival needs (64%). We also notice that in 2023, fewer business owners are driven by necessity (64%) compared to 76% in 2016. The decrease may indicate an improving economic environment, where fewer individuals are forced to start businesses solely for survival. Other entrepreneurs are driven by chance, social impact, personal fulfilment, or other factors not captured by the first two categories. This category has seen a notable decline, which suggests that fewer entrepreneurs are motivated by factors beyond mere survival or profit.

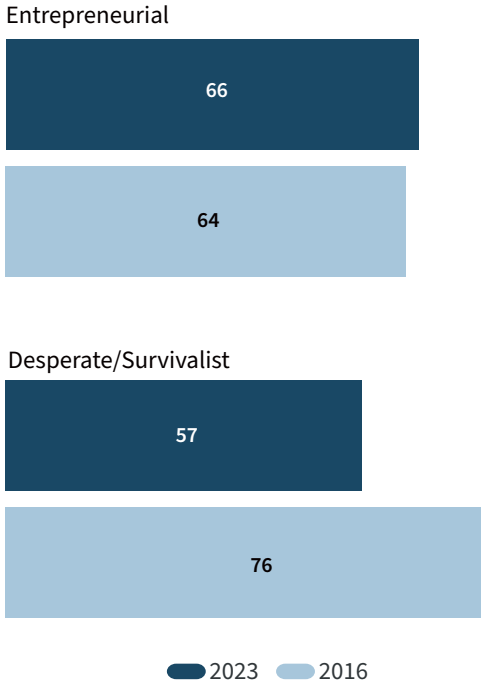


Figure 5: Reasons for starting a small business (% of MSMES)

Location and business premises

The distribution of MSMEs across urban and rural areas has remained the same. As depicted in Figure 6, the majority of MSMEs are still situated in urban areas. However, there has been a slight decline in the urban population, from 51% in 2016 to 49% in 2023. This may be attributed to the introduction of peri-urban areas, which account for 7% of the total MSMEs in Lesotho. Despite this change, urban areas, particularly the capital city of Maseru, continue to be the primary hubs for MSMEs, dominating their distribution. This is not surprising given that Maseru is home to approximately a quarter of the national population and more than half of the urban population in the country (Census Key Findings, 2016). Maseru also serves as the primary border link between South Africa and Lesotho, contributing to its prominence in the MSME sector.

A closer look at the sectoral distribution of MSMEs reveals that most are in the services realm, located in urban areas, with business services at 88%, tourism at 80% and construction at 74%. This trend may be attributed to the high concentration of people in urban areas, providing a larger potential customer base for businesses. The urban areas also have better infrastructure, such as transportation, communication, and financial services, which benefits service-based businesses.

When looking at the distribution of businesses, it shows that although only 9% of overall business owners are from Mafeteng, it hosts the greatest proportion of medium businesses (6%). Meanwhile, the mountain districts, Thaba-Tseka and Mokhotlong, had the highest proportions of individual enterprises.

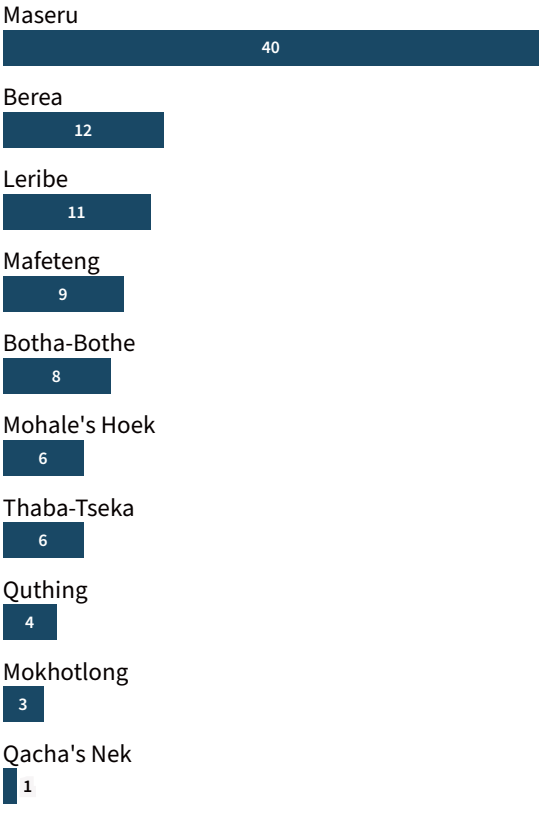


Figure 6: Location of MSME owners (%)

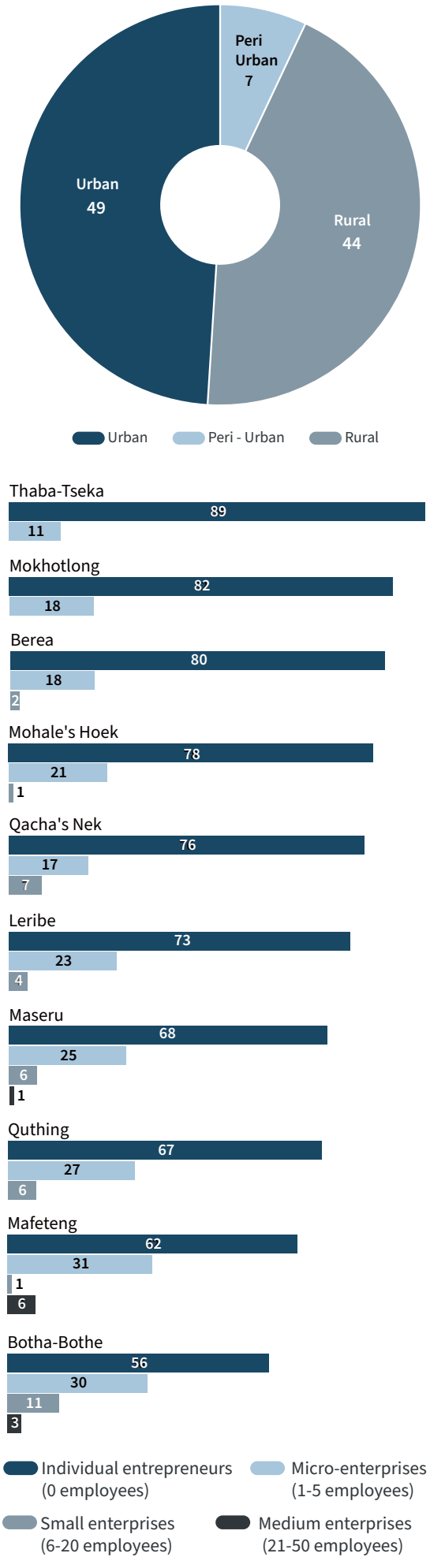


Figure 7: Business size by district (%)

Personal income

Understanding a business's performance involves looking at personal income and turnover, though these figures are often not entirely accurate and can be affected by bias. However, with a large sample, they still provide a good indication of sector performance (income) and size (turnover). Given the high proportion of micro-enterprises, it is not surprising that half (50%) of MSME owners earn less than M2,000 per month. Table 5 shows that as businesses grow from individual entrepreneurs to medium enterprises, personal income increases significantly. Thanks to improved sampling methods, no business owner reported zero personal monthly income.

Individual entrepreneurs continue to face income challenges; 86% of individual entrepreneurs have a monthly income under M5,000, which is comparatively still low when looking at 2016 (no inflation adjustment). With three out of five business owners relying on their businesses as their main source of income, improving the business environment for the sector could have a beneficial and lasting impact on the personal income of business owners. As the business grows from micro to medium, an increase in personal monthly income is also observed. This trend suggests that increased business size translates into higher personal income for owners. As businesses expand and hire additional employees, it indicates a sufficient turnover to cover these additional expenses, such as wages

Personal monthly income (Maloti)	Total		Individual entrepreneur		Micro enterprise		Small enterprise		Medium enterprise	
	2023	2016	2023	2016	2023	2016	2023	2016	2023	2016
Refused/Do not know		9		9		12		6		100
Less than 500	16	17	19	19	9	7		12		
Between 500-999	14	15	16	16	10	11		6		
Between 1000-1,999	20	13	23	13	13	13	5	14		
Between 2,000-4,999	26	15	28	14	21	21	19	21	1	
Between 5,000-9,999	11	8	8	7	22	11	16	14	4	
Between 10,000-19,999	6	4	2	4	15	4	17	1	17	
Over 20,000	7	3	3	3	11	6	42	12	79	

Table 5: Personal monthly income by size (%)

Sources of start-up capital

The lack of access to finance has been identified as one of the most binding constraints faced by MSMEs. This constraint is more pronounced in developing countries due to their underdeveloped financial sectors. Figure 8 shows that 97% of MSME owners start new businesses by using their personal savings, funds from family and friends, pension or retirement savings, or grants. The MSME sector faces a gap in accessing credit from formal financial institutions, with only 3% of them being able to secure formal credit from financial institutions.

As a result, the MSME sector relies heavily on personal savings and money from family and friends, which leads to limited access to formal credit and other funding sources. This reliance on internal funds and personal relationships can hinder the growth of MSMEs, as it takes time to accumulate enough savings to finance a start-up. As a result, many micro-enterprises are started with minimal seed money and struggle to grow. Many MSME owners cite the lack of access to funds as a major challenge. However, some also state that they do not need to borrow money, creating a conflicting observation that requires further analysis to understand the perceptions of funding and the role of credit in business.

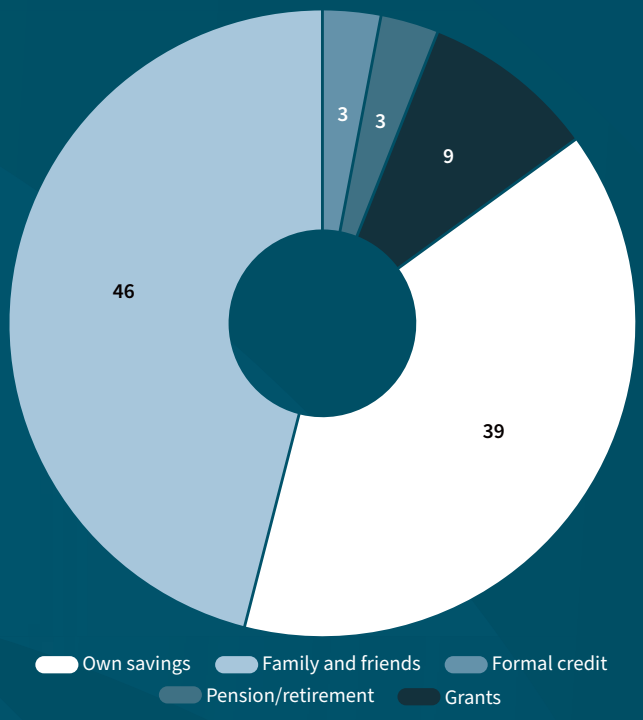


Figure 8: Source of start-up capital (%)

The MSME Sector in Lesotho

The SADC countries have relatively similar economies characterised by high unemployment rates and highly commercialised foreign-owned businesses and state bodies. These countries are mostly reliant on agriculture, remittances and commodities. The primary and secondary are crucial in shaping the structure of the economy. This leads to the emergence of informal business owners who try to sustain themselves by providing basic services to consumers. Table 6 below illustrates the prevalence of a highly informal MSME sector in some SADC nations where MSME studies were conducted. The largest proportion of adults in Mozambique and Zimbabwe own MSMEs, partly due to high unemployment rates and political-economic instability. However, the MSME sectors in these countries also play a significant role in job creation and supporting livelihoods.

As a region, the SADC Secretariat supports regional growth and development through programmes, such as Support to Industrialisation and Productive Sectors (SIPS) and Support to Improving the Investment and the Business Environment (SIBE). The aforementioned are aligned with the Regional Indicative Strategic Development Plan (RISDP) 2020-2030. The RISDP prioritises industrial development and market integration, places industrialisation at the centre of the regional integration agenda and seeks to front-load and accelerate industrialisation in the SADC region. The regional comparison has a bearing on ensuring the region can share learnings to achieve its common vision.

Among other key objectives, one of the main goals of the study was to provide a thorough description of the sector's landscape to better understand its depth and breadth. The business sector, source of start-up funding, awareness and utilisation of the support infrastructure, and employment across business sectors are the primary areas covered in this section's discussion of MSMEs' attributes.

Table 6 presents a comparison of MSME ownership in Lesotho against a few regional nations. Lesotho has a relatively low percentage of the adult population owning MSMEs, at 8% in 2023, compared to Eswatini's 10%, Zimbabwe's 46%, and Malawi's 13%. Interestingly, Lesotho's average number of employees per MSME is the highest among these SADC countries (excluding South Africa), at two, compared to Eswatini's 1.4, Zimbabwe's one, and Malawi's 1.1.



Indicator	Lesotho (2023)	Lesotho (2016)	Botswana (2024)	Eswatini (2023)	South Africa (2024)	Zimbabwe (2022)
Business owners	18 years and older	18 years and older	18 years and older	18 years and older	16 years and older	18 years and older
	50 employees or less	50 employees or less	50 employees or less	50 employees or less	250 employees or less	75 employees or less
Estimated adult population	1,4 million	1,1 million	1,6 million	800 000	44,7 million	9,3 million
Estimated % of the adult population that owns MSMEs	8%	7%	9%	10%	7%	46%
Number of MSME owners	107 753	76 068	124,799	68 000	3 million	2,8 million
Number of MSMEs they own	138 723	85 173	138,260	94 000	3,9 million	2,8 million
% of MSME owners with registered/ licensed businesses	24%	=18%	54%	43%	44%	15%
Number of employees	255 420	118 130	175 000	92 750	13,7 million	2,9 million
% of independent entrepreneurs	71%	83%	77%	75%	29%	71%
% of businesses with employees	29%	17%	23%	25%	71%	29%
Average number of employees per MSME	2	1.4	1.3	1.4	1	1.4

Table 6: A cross-country comparison of MSMEs in Lesotho vs other countries



When examining the total turnover per sector, the wholesale/retail sector has the highest turnover, followed by agriculture/ farming and community and household sectors. Meanwhile, the construction, natural resources and mining sectors have the lowest turnover. It is important to note that the number of businesses in each sector may influence the total turnover, which does not necessarily reflect business performance or profitability. Table 7 indicates that high turnovers do not always result in high profits when considering the average within sectors.

Sector	Total monthly turnover (USD)	Mean monthly turnover (USD)	2023 Total monthly turnover (M)	2017 Total monthly turnover (M)
Wholesale/retail	14,9 million	326	275 million	65 million
Agriculture/farming	12,7 million	602	233 million	39,5 million
Community & household	10 million	1,081	187 million	-
Manufacturing	5,8 million	320	107 million	12,7 million
Business services	3,6 million	760	67 million	32,3 million
Tourism	3,1 million	785	57 million	13,6 million
Construction	1,8 million	751	33 million	-
Natural resources/mining	16,000	118	290,00	-

Table 7: Business monthly turnover by sector

The results indicate that agriculture/farming has the highest average monthly profit, with USD470, while the tourism sector ranks second, with an average monthly profit of USD450. When comparing the business's monthly income to the mean monthly profit, the results suggest a top-heavy sector. A small number of highly profitable businesses are driving the sector's total profit, while the majority of businesses are struggling to achieve significant profits. Most businesses in the sector are earning profits closer to the mean, which is relatively low.

Sector	Total monthly profit (USD)	Mean monthly profit (USD)
Agriculture/farming	10,4 million	470
Tourism	158,000	450
Wholesale/retail	12,8 million	440
Construction	787,000	320
Community and household	2,5 million	270
Business services	955,000	190
Manufacturing	1,7 million	98
Natural resources and mining	12,800	96

Table 8: Business monthly profit by sector

Table 9 displays the average monthly turnover based on the size of the business. The highest monthly turnover (average) is recorded by small entrepreneurs. The table shows that while larger enterprises benefit from relatively high revenue, individual entrepreneurs and micro-enterprises exhibit higher profit margins, which may be due to lower overhead costs. Small enterprises have the largest proportion of construction businesses (38%) and community and household (17%), which have the highest mean profits. Small businesses also have less involvement in the wholesale and retail sectors, which are dominated by independent entrepreneurs.

Size	Mean Monthly Turnover (USD)	Mean Monthly Expense (USD)	Mean Monthly Profit (USD)
Individual entrepreneur	122	45	77
Micro-enterprise	415	205	210
Small enterprise	5,838	3,109	2,729
Medium enterprise	5,500	3,175	2,325

Table 9: Monthly turnover by business size (mean)

Business sector

The business sector is the backbone of any economy, driving job creation and growth. When it comes to MSMEs, this plays an important role in shaping the entrepreneurial landscape and contributing to national development. The economic impact of the sector becomes more important when MSMEs operate in sectors of the economy that are considered strategically important. However, challenges such as capital constraints and limited accessibility to markets may sometimes lead to the concentration of small businesses in sectors that are not considered strategically important. Despite these obstacles, potential growth and success within the business sector remain bright and promising.

As shown in Figure 9, MSMEs operate predominantly in the wholesale and agricultural sectors; 42% of MSMEs operate in the wholesale sector, while 20% are in the agricultural sector. The overall composition of the sectoral distribution has also seen some considerable changes; the manufacturing sector has almost doubled to 17%, up from 9% in 2016. Similarly, the service sector has shown remarkable growth from 1% in 2016 to 10% in 2023.

However, the country's relative contribution of both sectors to national GDP has decreased. According to recent World Bank data, the manufacturing value added percentage of GDP declined from 16.67% in 2016 to 14.03% in 2023, while the services value added percentage of GDP declined from 53.34% in 2016 to 51.4% in 2023. Most of this decline occurred after the Covid-19 global pandemic, which severely impacted many African economies. Due to restrictions on the free movement of people that disrupted economic activities, the tourism sector was hit the hardest, experiencing a decline of 6%, from 10% in 2016 to 4% in 2023. The recovery process for this sector is expected to be a long haul.

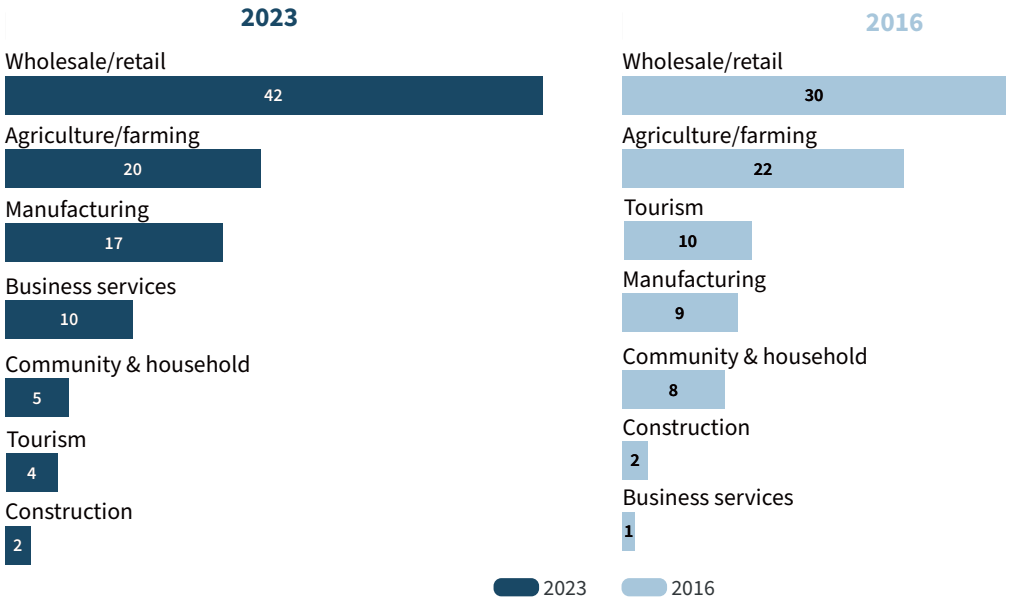


Figure 9: Business sector in which MSMEs operate (%)

Business size

The size of a business determines its operational capacity, market reach and profit. The business size can be measured using different parameters such as annual turnover, total assets or number of employees. Each of the parameters has its limitations. For instance, volatility in annual turnover may lead to a misclassification of a medium enterprise into a small business when turnover falls. Perception-based surveys are limited to inaccurate reporting of income or turnover, weakened by human bias and memory inaccuracies. Sectoral differences in capital intensity of operations make using total assets as a basis for classifying businesses by size problematic.

The revised Lesotho MSME policy classifies businesses into three categories: employment, investments, and sales turnover. The new classification is a slight shift from the MSME Policy of 2011, which included the legal structure in defining MSMEs. However, the FinScope MSME Lesotho 2016 results revealed that the majority of the MSME sector was informal (82%). Therefore, the government, in their efforts to treat all segments of the MSME sector without discrimination, abandoned the legal structure classification and replaced it with fixed investment. Table 10 shows the new MSME definition as stated in the Revised Lesotho MSME Policy.

Criteria	Micro	Small	Medium
Employment (no. of employees)	1-6	7-20	21-50
Fixed investment (in Maloti)	80,000-250,000	251,000-350,000	351,000-500,000
Annual sales turnover (in Maloti)	50,000-200,000	201,000-1,000,000	1,001,000-5,000,000

Table 10: MSME definition by the Revised Lesotho MSME Policy 2021-2026

The new classification aims to effectively represent the components of the country's MSME sector. However, the criterion may have limitations when considering the use of employment and fixed investments. Businesses with capital-intensive processes will be placed in higher-size categories, while those with less capital-intensive processes are likely to be put in lower-size categories. A similar limitation arises when using the number of employees for size classification, leading to small businesses with labour-intensive processes being placed in higher-size classes, while those with less labour-intensive processes are placed in lower-size classes. Therefore, the policy prioritises the use of employment as a superior measure because it is more stable against inflationary pressures.

Similarly, in this report, businesses were classified into different size categories based solely on the number of employees. These classifications have remained the same since the last study to enable comparison, which is why the 2023 study maintained the 2016 classifications. The only difference between the revised MSME policy 2021 and the 2011 MSME policy is in the micro and small enterprise segments: micro-enterprises, previously defined as having 1-5 employees, now include 1-6 employees, while small enterprises start from seven employees rather than six.

As a result, four categories were created. The first category includes independent entrepreneurs with no employees. Followed by micro-enterprises that employ 1-5 workers. The third category consists of businesses that employ 6-20 workers and are classified as small businesses. The fourth category consists of enterprises that employ between 21 and 50 workers and are classified as medium enterprises.

As shown in Figure 10, more than half of the MSMEs have no employees, while 24% are micro-enterprises employing between one and five employees. Small businesses account for 4%, and medium enterprises are relatively low at just 1%. In general, independent and micro-enterprises account for 95% of the MSME sector. Despite the ongoing dominance of individual entrepreneurs, the sector has shown remarkable growth between 2016 and 2023, with an increase in the proportion of enterprises that have employees.

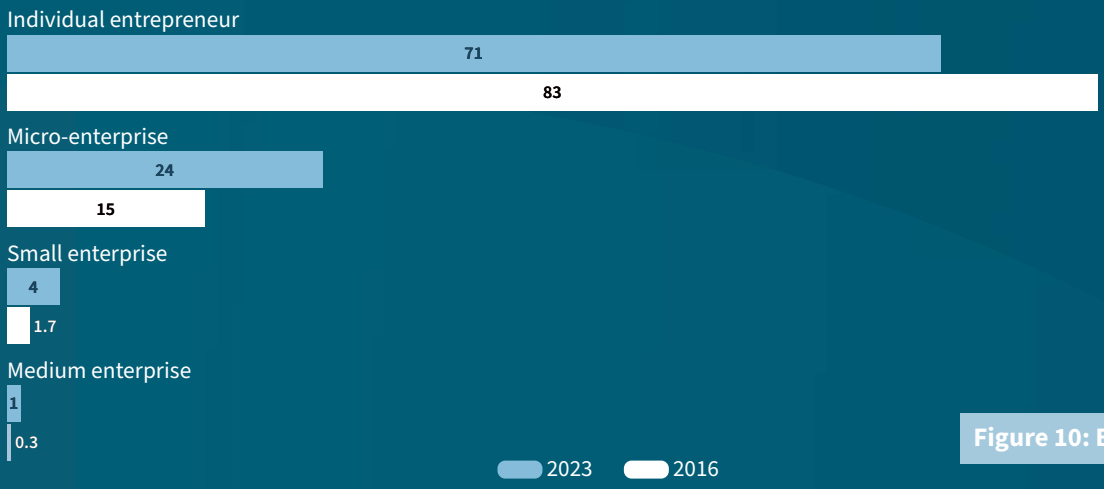


Figure 10: Business size (%)

According to Figure 11, the ownership of micro-enterprises decreases as education levels increase, from individuals without formal education to those with higher educational degrees. Business owners with higher education levels are more likely to own small and medium-sized businesses. A deep dive into the data reveals a similar trend in formality. The higher the level of education, the more likely it is for the business to be formalised. This indicates that the level of education of the business owner has an impact on the size and legal compliance of MSMEs. The most common educational level among business owners is high school education.

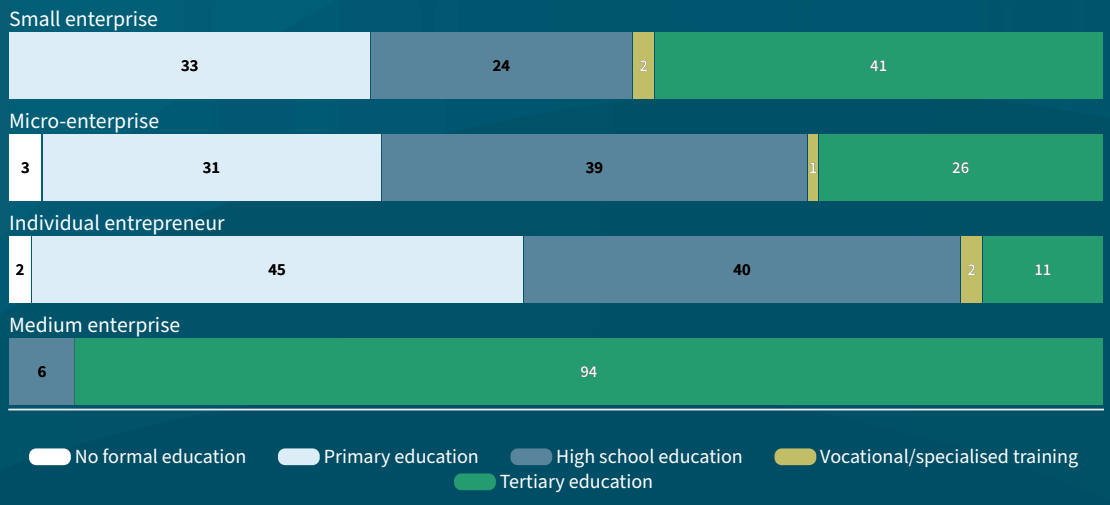


Figure 11: Business size by level of education (%)

MSME job creation

The importance of the MSME sector has largely been attributed to its ability to provide much-needed jobs in both the informal and formal sectors of the economy. Employment potential may differ across sectors due to differences in the labour intensity of businesses in each sector. As shown in Figure 12, MSMEs in the wholesale/retail and agriculture/farming sectors have the highest share of employees owing to the breadth of these sectors. However, the same sectors are dominated by informal businesses, contributing to more than half of the total informality within the MSME sector.

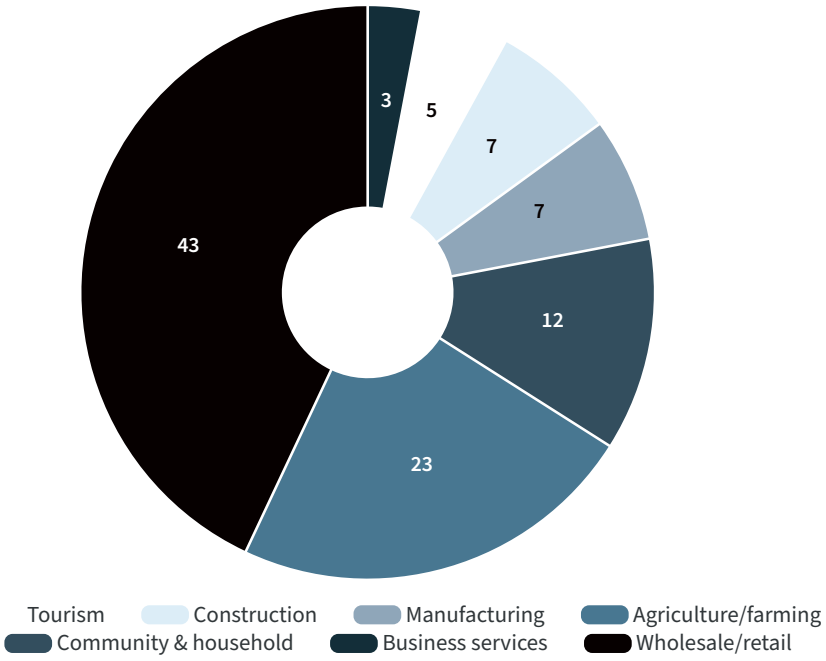


Figure 12: Share of full-time employees by sector (%)

Employment within the MSME sector is male-dominated; a slight majority of 53% are male employees. To further reiterate the informality that exists within the sector, 37% of the employees have only a high school education. This indicates that most jobs within the sector are low-skilled or semi-skilled and require minimal formal education. Support for enterprises to grow and create jobs should concentrate on specific sectors, such as manufacturing. Businesses in this sector have the potential to generate more employment compared to traditional sectors, such as agriculture.

Business support and impact of shocks

MSMEs are more vulnerable due to their limited resources and capacity and require targeted support to build resilience. Effective business support for MSMEs can include access to finance, mentorship programmes, access to technology, incubation hubs and similar services. In Lesotho, a range of support mechanisms, from government programmes to private initiatives, are involved in providing business support to the MSME sector. These institutions offer important support services designed to help MSMEs grow, formalise their businesses and improve their access to markets and finance.

The extent to which MSME owners benefit from the support infrastructure in the country largely depends on their awareness of its availability and how they use it. As a result, the report explored the level of awareness among MSME owners regarding the availability and usage of the support infrastructure. It also delved into the MSME owners' perception of the usefulness of the support services.

A collective of 42% of business owners are aware of some institution that offers business support, while only 22% of them have used or received support from these institutions. Most of those who received support were focused on enhancing product quality and boosting productivity.

The analysis suggests that increasing awareness about the support infrastructure does not translate to higher usage of these institutions. Support initiatives need to be closely aligned with the existing needs of the business owners. Encouraging MSME owners to use the services should demonstrate how these institutions address the specific challenges that they are facing and what the enterprises are likely to benefit from.

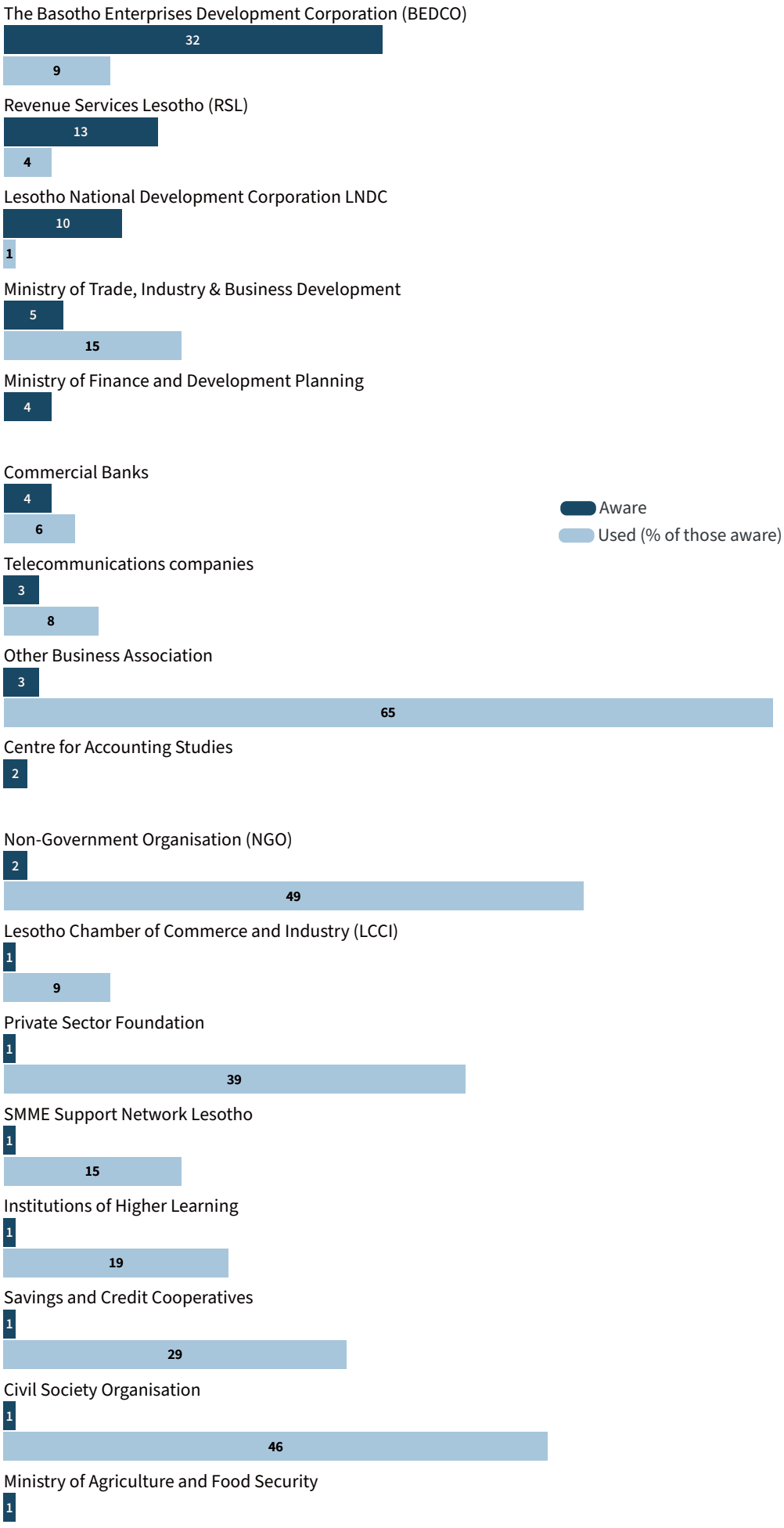


Figure 13: Awareness of business support organisations (%)

Impact of the Covid-19 pandemic and mitigation

The Covid-19 pandemic brought unprecedented challenges to businesses worldwide, and MSMEs in Lesotho were no exception. For many of these enterprises, the pandemic was not just a health crisis but a business resilience test. Lockdowns, reduced consumer demand, supply chain disruptions, and financial constraints severely impacted the operations and profitability of small businesses, with some being forced to shut down temporarily or permanently. The 2023 survey also explored the impact of the pandemic on businesses. Fifty-four per cent (54%) of MSMEs reported that the pandemic had a negative net impact on their business, while others viewed it as positive (6%) or of no major impact (10%). Figure 14 below shows the negative net impact on the businesses.

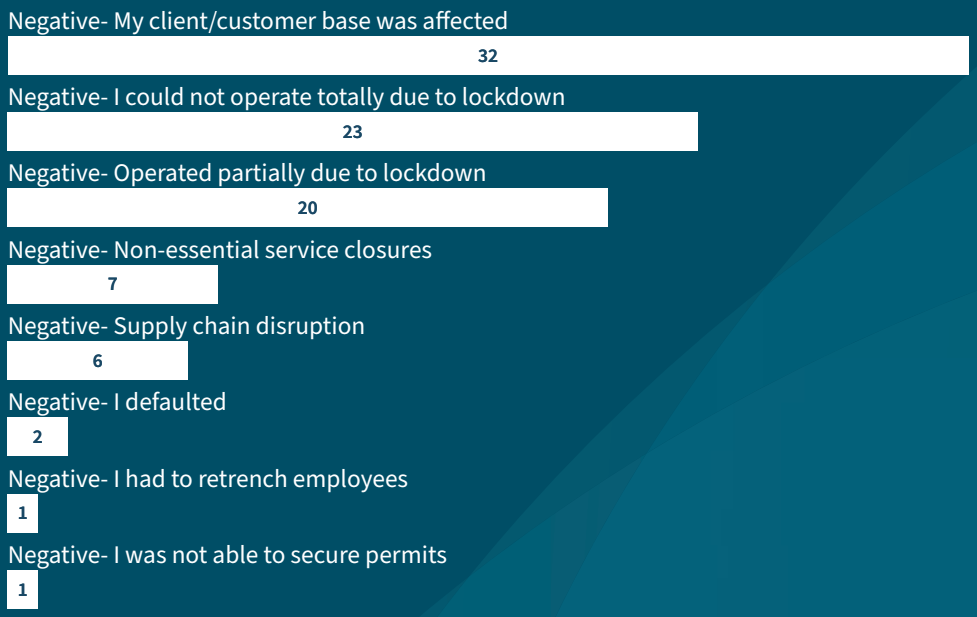


Figure 14: Negative impact of social unrest on business (%)

For most MSMEs, the immediate impact of the pandemic was a sharp decline in revenue. With movement restrictions and the closure of non-essential businesses, demand for goods and services fell. Business services (69%), manufacturing (64%), and the tourism sector (63%) were hit the hardest, with more than half of the MSMEs in the tourism sector having to halt their operations due to the lockdown restrictions.

Supply chain disruptions further compounded the challenges, particularly for the agriculture sector that relies on feeds and other farming inputs from South Africa. The closure of borders and restrictions on imports and exports left many MSMEs unable to source raw materials or deliver products to customers, especially those in rural areas.

Formalisation (business registration or licensing) among MSMEs

Formalising a business improves access to finance and ensures long-term business sustainability by opening doors to other forms of business support. In Lesotho, most MSMEs operate in the informal sector, meaning they are not registered with the government and often have restricted access to financial services and formal markets. Formalisation provides a pathway for these businesses to gain legitimacy, expand their reach, and contribute more effectively to the country's economy.

The government of Lesotho, alongside international development partners, has taken steps to encourage the formalisation of MSMEs, like the inception of the One-Stop Business Facilitation Centre (OBFC), which is a one-stop shop to simplify business registration by making it easier for entrepreneurs to register their businesses and apply for licenses.

In Lesotho, a business can register with the Ministry of Trade, Industry and Business Development (MTIBD). This includes choosing a business name and obtaining a Certificate of Incorporation. To operate, a business must obtain a trading license from the relevant regulatory bodies that permit it to trade.

In this report, a formal business is defined as one that is registered with the MTIBD and the Revenue Services Lesotho and or has a permit from a relevant regulatory body, municipality or council within their sector. The data shows that 24% of MSMEs are both registered and or licensed, as there is an overlap where businesses have both registrations and licences. Additionally, some only have licences (23%), and some remain informal (76%). Licenses are usually permits to trade, whereas registration creates a legal entity for the business, usually for limited liability. In 2016, 18% of MSME owners were formal. This suggests that more MSMEs are formal in 2023 than in 2016, indicating an increase in business formality.

MSME formalisation varies significantly across different sectors, with certain sectors showing higher formal business registrations than others. Figure 15 shows that formalisation is more common in the community and household, and construction sectors, mainly due to the nature of their operations and adherence to industry-specific regulations. These sectors also benefit from access to government tenders and private contracts, particularly for large projects, ensuring compliance with health and safety standards, and access to formal credit.

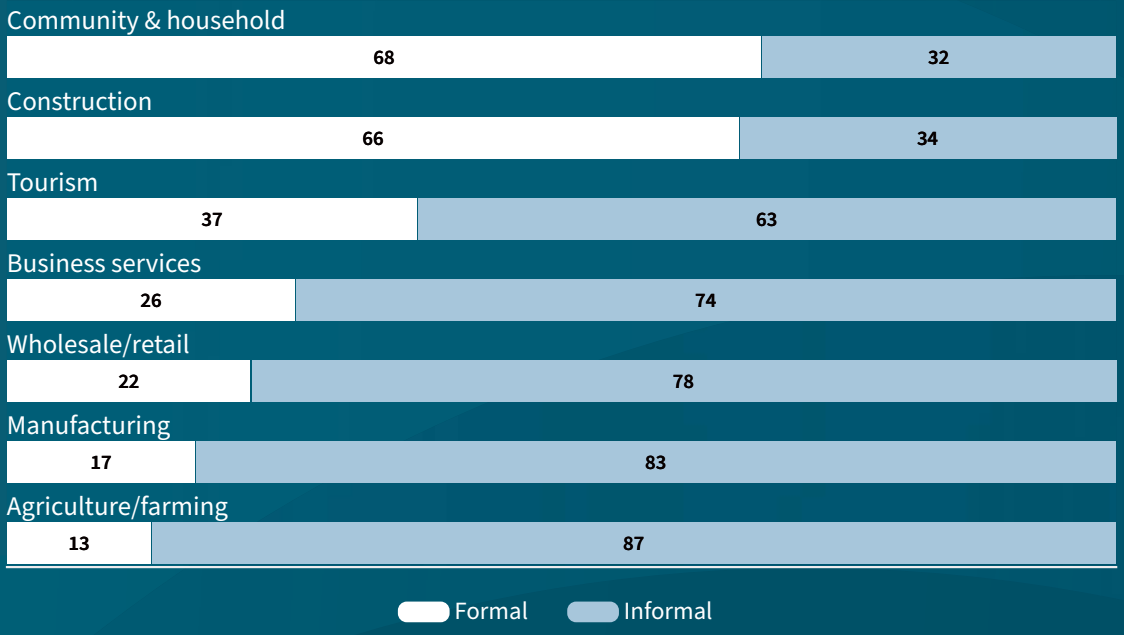


Figure 15: Formal businesses by sector (%)

The proportion of formal enterprises increases with business size. As a business employs more people and moves from one business size group to the next, the chances of formalising increase significantly. Figure 16 shows the proportion of business owners by business size, which indicates that formalisation for individual employees has practically remained the same, with more than 86% of individual entrepreneurs being informal, compared to 87% in 2016. Small enterprises have increased by 20%, marking an increase in formal MSMEs in all business sizes. By gender, a higher proportion of female business owners (81%) are informal compared to male business owners (71%).

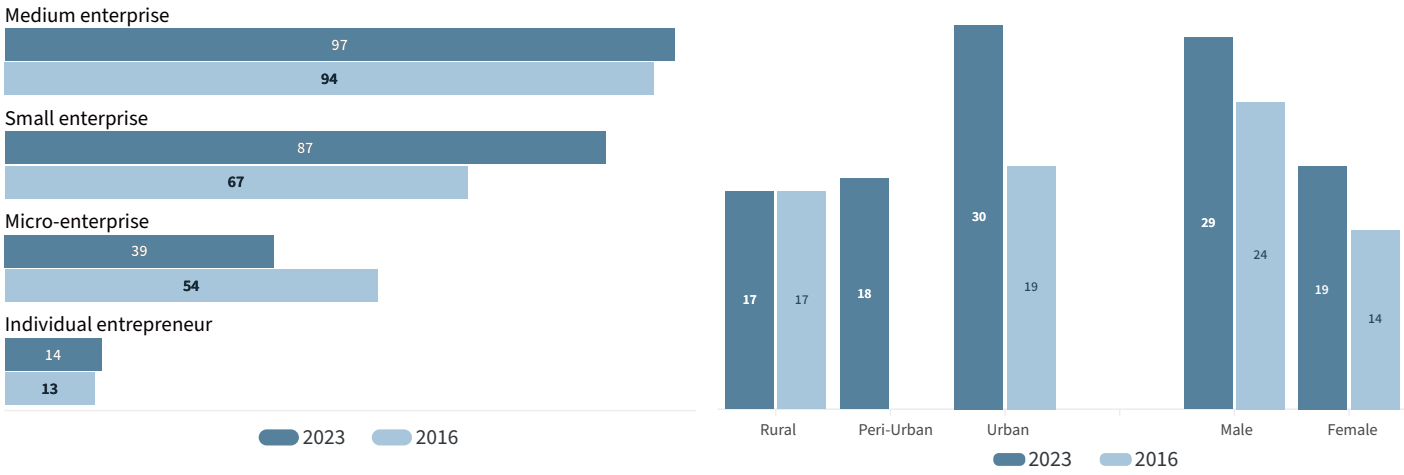


Figure 16: Formal businesses by size, sex and location (%)

Despite the progress made towards formalisation, the barriers to formalisation between 2023 and the baseline year have not changed; the main reasons are that the business is too small (53%) and not enough knowledge on how to register (21%). When assessing the issue of formality across the region and perhaps globally, the costs of formalisation (mainly registering the business) outweigh the perceived benefits. When the Covid-19 pandemic hit, all businesses (formal and informal) were affected, and no perceived advantage was experienced by formal enterprises during the crisis (FinMark Trust, 2021).

The 2023 survey further explored whether informal enterprises would like to formalise and what assistance they require. Figure 17 shows that four in five (87%) agreed to formalise their operations if the registration was free and the benefits of formalisation were made transparent to the business owners. Considerable work is required to change existing perceptions of formalisation, as previous findings indicated that businesses rarely benefit from formalising operations outside of compliance. Therefore, it is important to reposition what formalisation means and how it aids businesses in accessing support, markets, and finance.

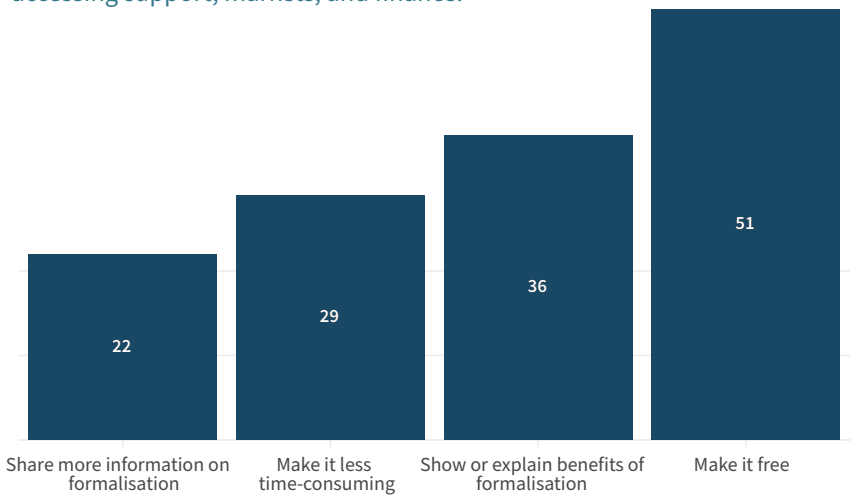


Figure 17: Government assistance to formalise (%)

Business lifecycle (business age)

The average age of most MSMEs in Lesotho is eight years. However, Figure 18 indicates that about one-third of MSMEs are in their start-up phase (operational between 0 and 2 years). The comparison to 2016 on this dimension reveals that there are only slight changes in the business lifecycle landscape, with the start-up and mature phases being the only ones to record declines. Most start-ups are women-owned, and a high proportion of mature businesses are female-led due to the higher number of female business owners. There has been a notable improvement in the proportion of established and mature businesses that are women-led since 2016.

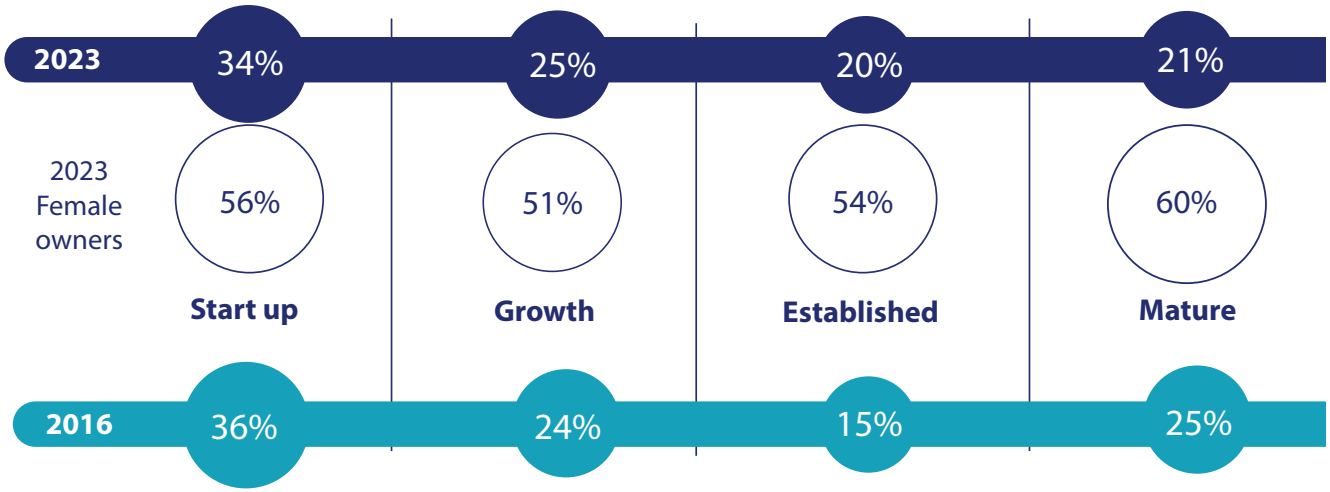


Figure 18: Business lifecycle (%)



Financial Services and Product Uptake and Usage

Access to finance is essential for MSME growth at different stages of their life cycles, providing them with tools to manage cash flows, invest in expansion and mitigate risks. The analysis of financial inclusion was conducted using the FinScope methodology, as depicted in Figure 19. The framework categorises the business owner population into different segments based on the products that they own or use.

Business owners (BOs) who are financially excluded do not use or have access to any formal or informal financial services or products. If they borrow money, they rely on family or friends, and if they save, they keep their savings at home. This group also includes individuals who choose not to use or access financial products voluntarily. Additionally, it includes individuals who do not have any financial products or services in their name. They may also, for example, use someone else's bank account or be covered by someone else's insurance, such as extended family funeral cover. Financially included BOs are those who have or use formal and or informal financial products and mechanisms.

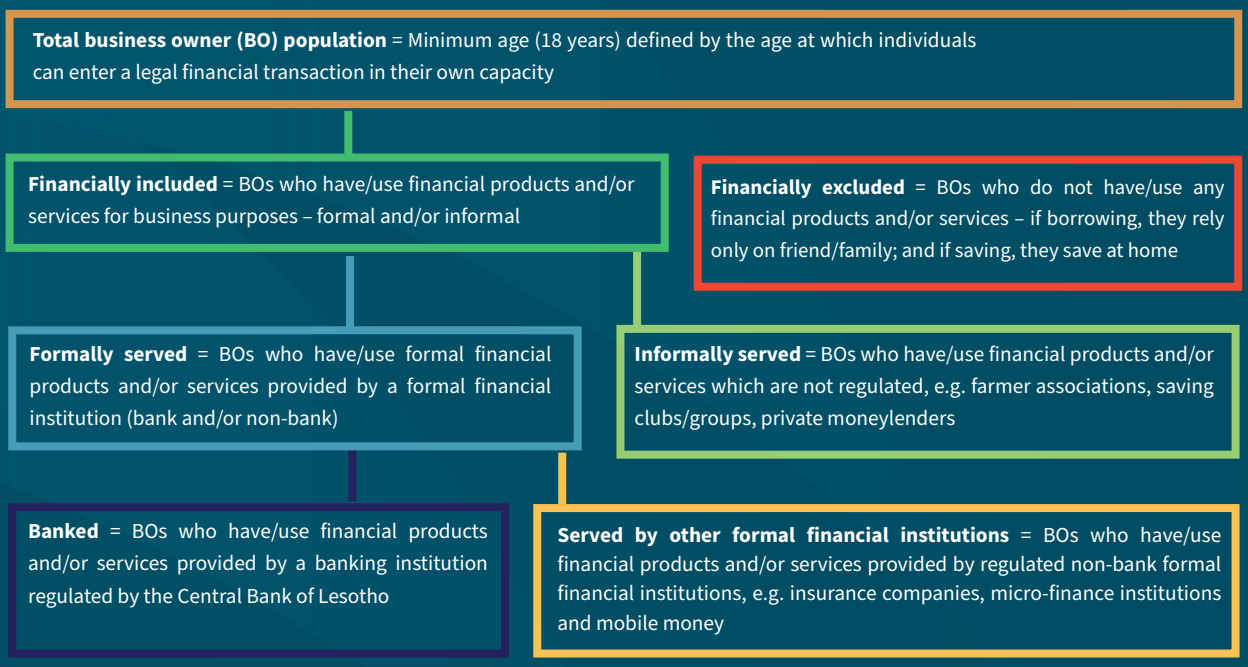


Figure 19: Financial Inclusion Framework

MSMEs employ a variety of financing strategies to grow or even reduce their daily operations. The FinScope framework for financial inclusion enables the identification and integration of various mechanisms that business owners use. This enables a deeper comprehension of access to financing for the business's day-to-day needs, ranging from payments to mitigation measures. An overview of financial product usage across categories is shown in Figure 20, comparing data from 2023 and 2016.

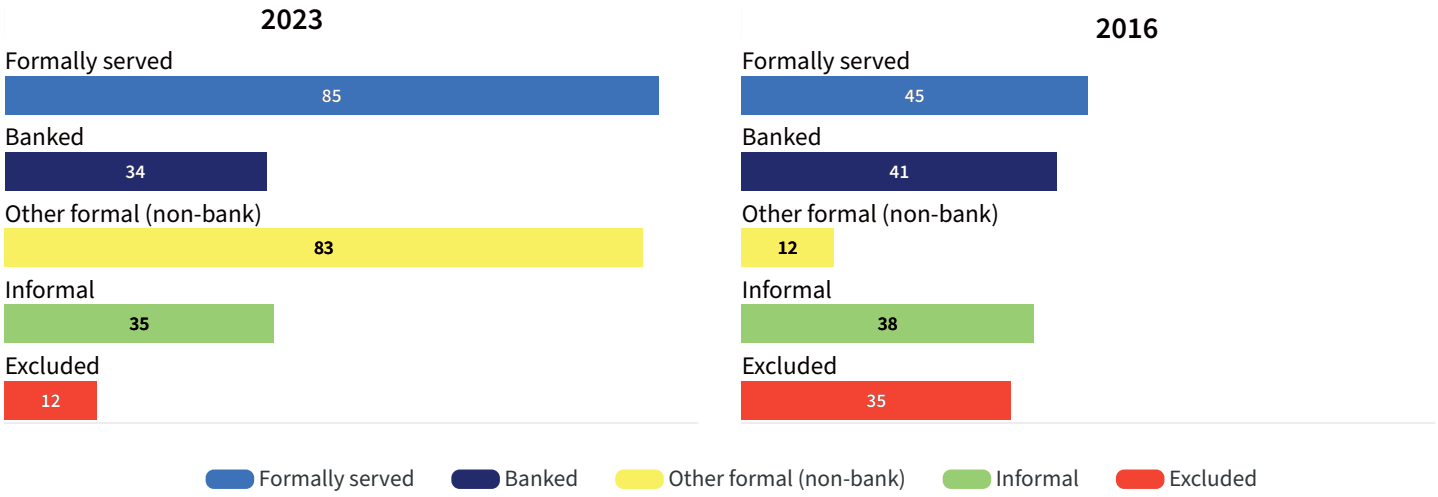


Figure 20: Overview of financial uptake (with overlaps)

Four key insights can be garnered from the above figure:

- The percentage of formally served individuals has increased significantly from 45% in 2016 to 85% in 2023.
- There is a decline in banked individuals, from 41% in 2016 to 34% in 2023. However, this has been countered by a rise in the use of other formal (non-bank) financial services, which has increased significantly from 12% in 2016 to 83% in 2023.
- A slightly lower proportion of business owners are using informal products, although still significantly high.
- A notable reduction in the excluded business owner population from 35% to 12% between 2016 and 2023, respectively.

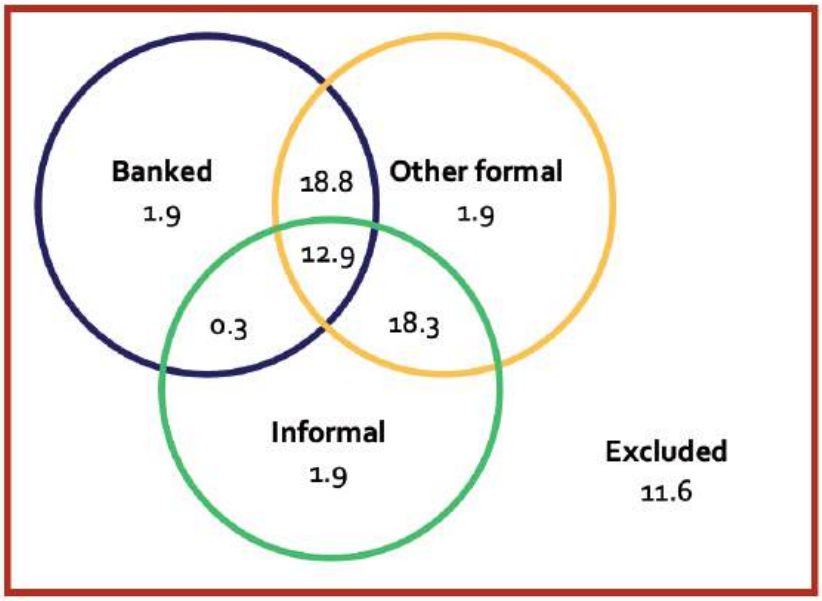
The shifts outlined above are explored in detail in the following sections, covering institutions and products.

Overlaps and the Financial Access Strands

A closer analysis of the overlaps in Figure 21 shows a financial access strand that is heavily skewed towards non-bank formal services use, with only 1.9% relying solely on banking products and services. However, the 18.8% overlap between banked and other formal services suggests that firms are diversifying their financial tools to support business survival while remaining within the scope of formal products and services uptake.

The informal financial system continues to play a significant role in MSME financial management. Around 3.2% of MSMEs rely exclusively on informal services, such as savings groups and informal lending, while 18.3% combine informal mechanisms with non-bank formal financial services. This suggests that, despite the rise of mobile money and other formal products, informal systems remain deeply embedded in many businesses' financial habits, likely due to the trust and flexibility they offer.

Figure 21 shows the multi-layered nature of financial products, with about 37% of MSMEs using both formal and informal products. A significant 12% of business owners remain financially excluded. The factors driving these shifts are discussed in the next section.



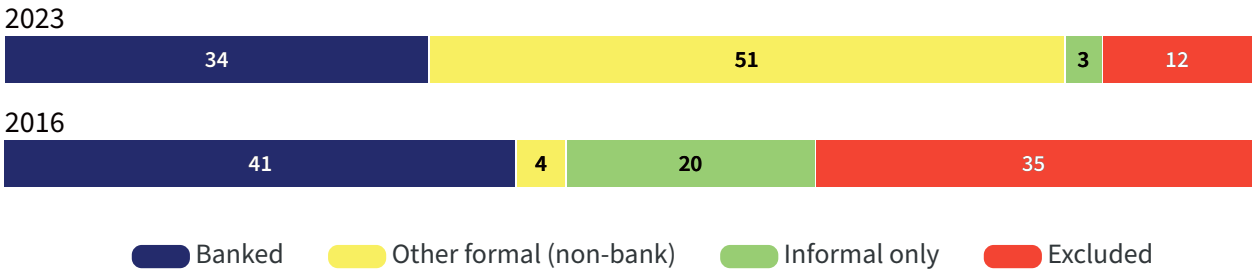


Figure 21: Overlaps and Financial Access Strand (%)

Although they experienced a slight decline in banking, Basotho MSMEs still enjoy high formal financial access compared to their neighbours in the SADC region. As shown in Figure 22, more than half of the MSMEs in Lesotho rely on non-bank formal financial services, and a further 34% rely on banking. The financial exclusion of Basotho MSMEs is comparable to that of Eswatini at 12%. The trend in the region appears to shift from banking as more adults and business owners are using mobile money, which has increased formal financial inclusion not only in Lesotho but also in Zimbabwe and Malawi.

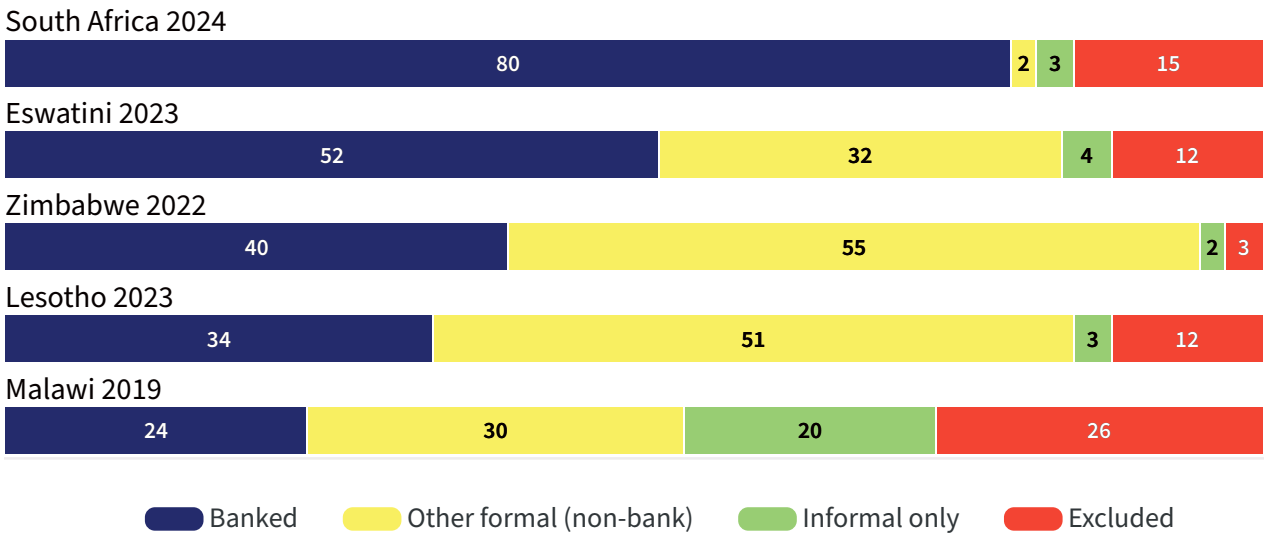


Figure 22: A cross-country comparison of MSME Financial Access Strand (ranked by formal inclusion)

Financial access and usage

For many years, banks have been the primary providers of financial products and services. However, the introduction of mobile money and microfinance institutions has significantly changed the financial landscape. Business owners now use products from both traditional banks and other formal (non-bank) sources.

The level of financial access also differs by sector, as the demand for financial services varies with the complexity of the business. This may be due to intrinsic factors like the development of the sector and the life cycle phase of the business. Banked businesses may also use other formal (non-bank) services and or informal services; however, the strand analysis removes overlaps, ranking from banked and other formal (non-bank) services to informal, with the excluded separate.

As shown in Figure 23, sectors that are more formally oriented (requiring registration or licensing) – such as construction and tourism – tend to have a higher proportion of banked businesses. Interestingly, as we move from wholesale/retail to business services and manufacturing sectors, we observe a decrease in banking and an increase in formal (non-bank) services, indicating these three sectors rely more on other formal (non-bank) services, such as mobile money. As expected, with lower bank penetration, there is a higher uptake of other formal (non-bank) services/products, showing the willingness of entrepreneurs to substitute traditional banks for other formal financial services.

When looking at construction, tourism and natural resources/mining, it can be observed that a higher proportion of businesses in this sector are banked, and fewer rely on other formal (non-bank). This may be attributed to the large amounts of trade money circulating within these sectors.

Access to and use of formal products are contingent upon the business ecosystem. The usage of formal products like Point of Sale (POS) may be expensive for the business owner if customers and input suppliers conduct business mostly using cash. Developing tools that enhance how business owners receive and process payments, as well as manage and secure their cash flow, will be made easier with an understanding of the business ecosystem.

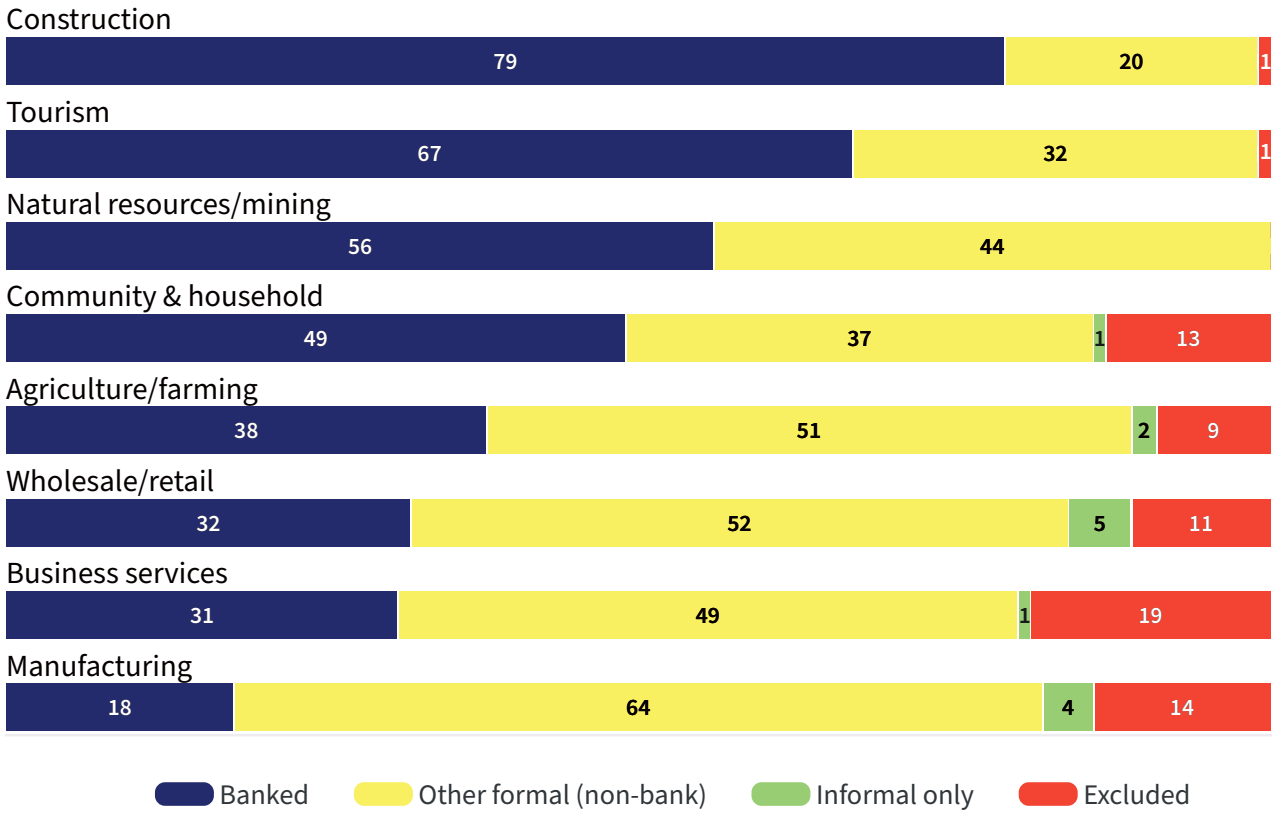


Figure 23: Financial Access Strand by Sector (%)

The stages of the business life cycle give rise to varying financial requirements for the business. The capital composition of a start-up can be very different from that of an established or mature business. Considering that not every stage of a business has the same needs, it is possible to deploy the best financial tools in the market by taking into account the access to funds at each phase. It is challenging to assign life cycles to firms because of the significant differences among sectors. Therefore, for simplicity, as in earlier sections, this report uses the business age as a life cycle indicator to look at financial usage at each phase.

There does not seem to be any consistent trend regarding financial inclusion in the maturation of the business. Intuitively, more established companies will have greater levels of financial inclusion as these are likely to be more formalised and developed. Figure 24 illustrates that businesses in the mature and established phases have higher levels of inclusion, with the largest proportion of banked business owners. However, the differences in formal access are not substantial, as all four phases have at least four in five businesses that are formally financially included.

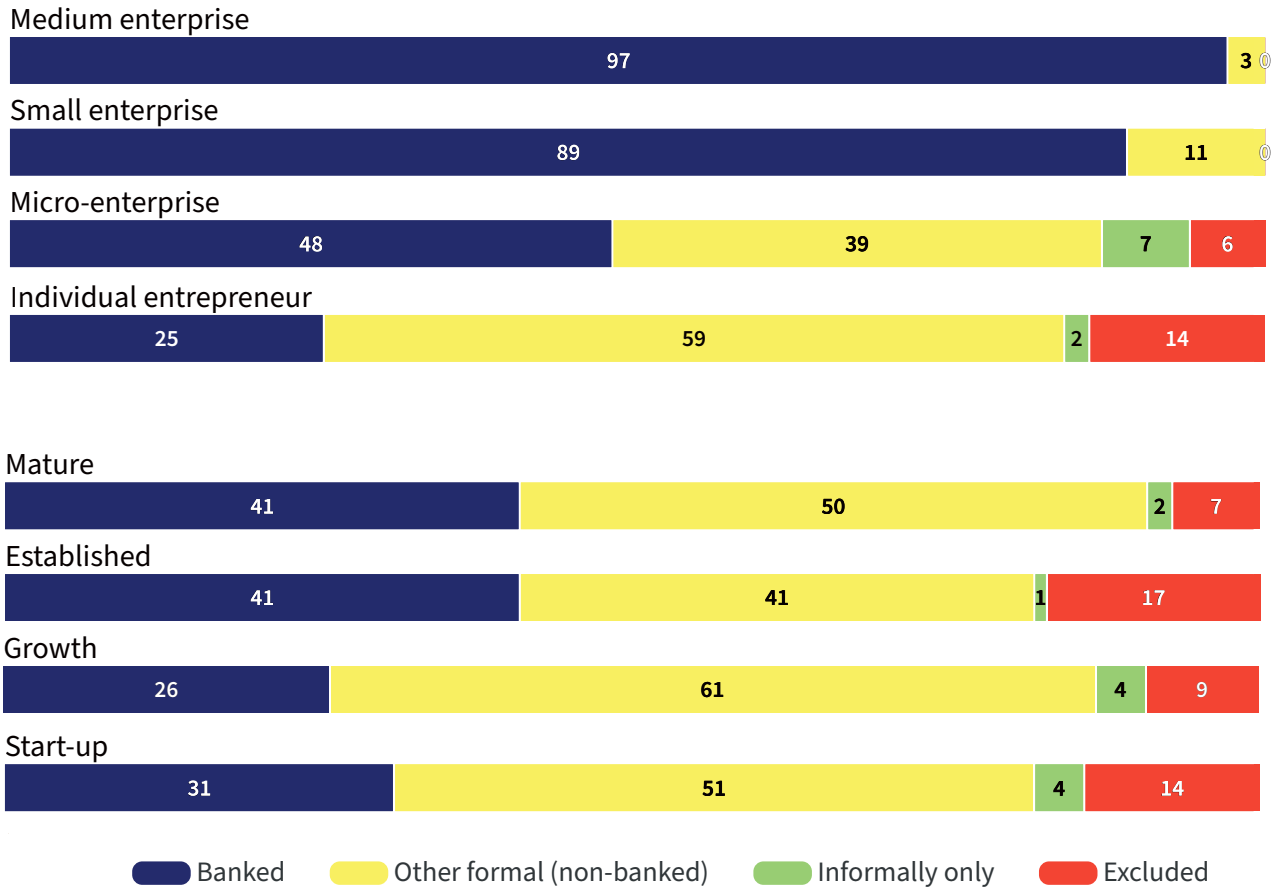


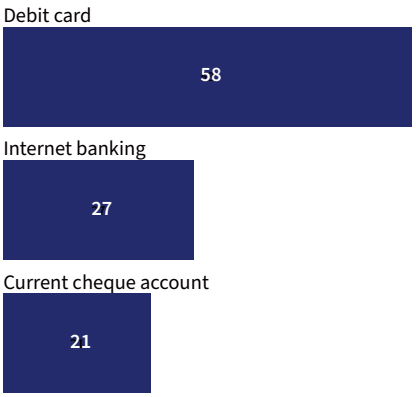
Figure 24: Financial Access Strand by business size and life cycle (%)

Bank account: Access and usage

Access to a bank account is often the first step toward formalising a business's financial activities. It enables MSME owners to manage their financial resources more effectively, as dispersed cash holdings increase the risk of loss and expose them to theft and misuse. A small business owner with a bank account can conduct correspondence transactions with clients, supplying goods through an agent, while clients pay directly into the bank account from their homes. For transactions with large corporates, bank accounts are the primary instruments for making and receiving payments.

The penetration of business owners with ownership of bank products decreased from 41% in 2016 to 34% in 2023, largely driven by transactions (89%). Bank account access has decreased in proportion to the business owner population. However, in actual numbers, there are more banked business owners (increased from 30,973 in 2016 to 36,603 in 2023). Usage of business accounts is growing, with 23% of banked business owners having an account in the business name, compared to 15% in 2016.

Main bank products driving transactions (%)



Main transactions performed (%)

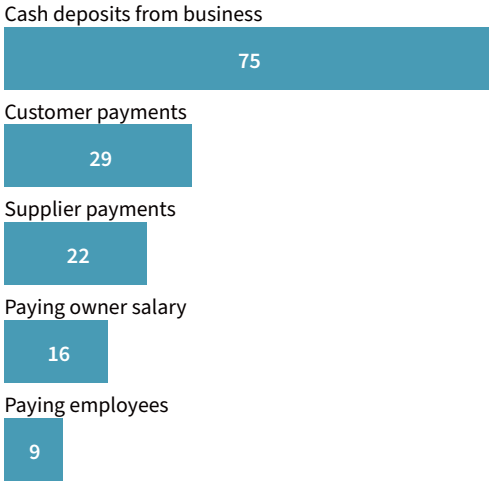


Figure 25: Banking drivers

Seventeen per cent (17%) of banked businesses are using bank digital financial services (DFS). While this may appear low, the costs associated with digital payment systems must be considered. Some small businesses may incur relatively high transaction costs for using POS systems, which can make them seem like an expense to process their payments rather than a value-added service. Deeper insights into electronic payment acceptance may be garnered through qualitative research on various participants of the electronic payments ecosystem.

Since 2016, the main barriers to banking have remained unchanged. Business size is the main barrier to banking. The most unbanked business owners are individual entrepreneurs. Irregular income, both personal and business-related, is also cited as a barrier, highlighting the misalignment between income frequency and banking cycles. Currently, 85% of business owners pay their employees in cash, while 11% use DFS. This suggests a gap between ownership and usage of banking products, potentially contributing to the decline in the proportion of banked users.

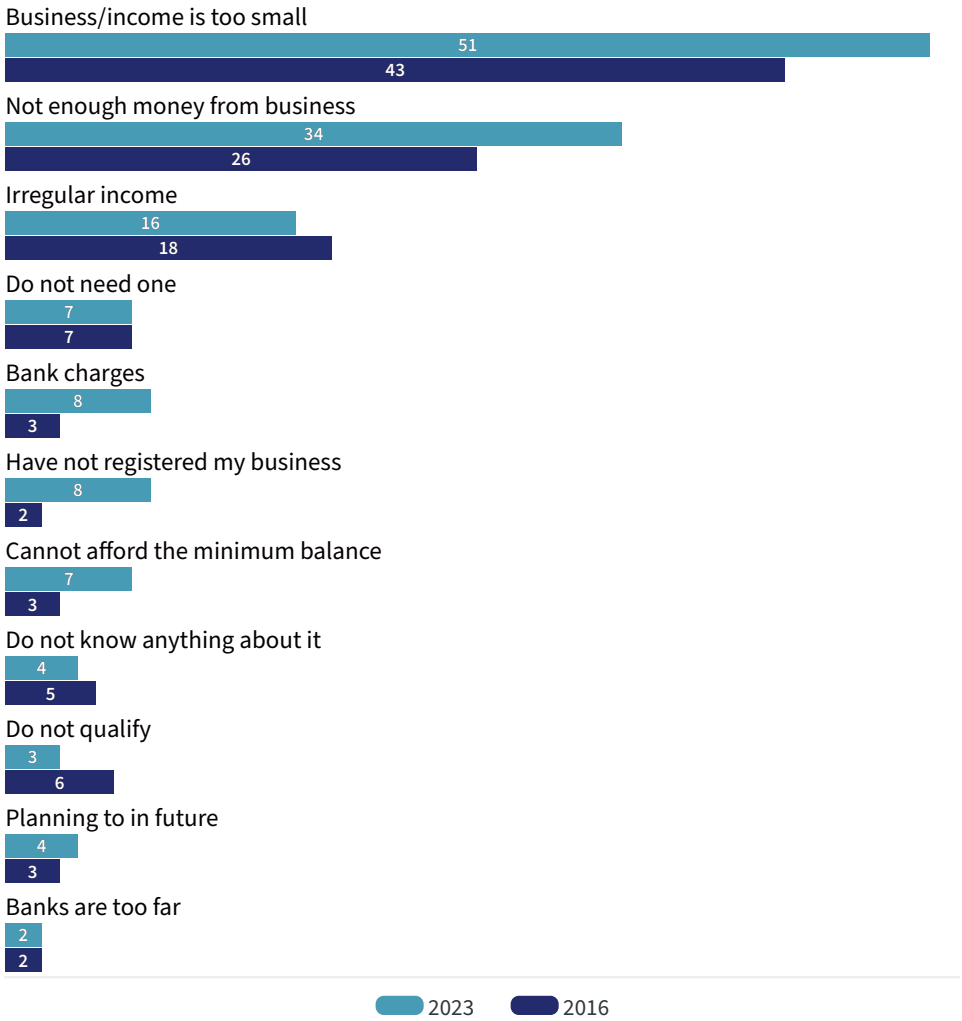


Figure 26: Barriers to banking (%)

Mobile money account ownership and usage

The recent surge in financial inclusion in the SADC can be attributed to mobile money, which has increased financial inclusion by expanding access to active mobile money accounts. The introduction of mobile money not only provided an alternative for financially excluded individuals but also stimulated the use of mobile money for the payment of goods and services. The MSME sector is no stranger to using mobile money accounts for business purposes. Mobile money services allow individuals to access financial services using their mobile phones, which is particularly beneficial in areas with limited access to conventional financial services.

There has been a consistent uptake of mobile money since its introduction to the market in 2012 through Ecocash by Econet Telecom Lesotho. The study shows that 66% of MSMEs are currently using mobile money for their businesses. As with banking, a higher proportion of mobile money users (96%) mainly conduct transactions through this service, and 36% of users also save. The market share indicates that a majority of users are with Vodacom M-Pesa (60%), while 5% use Ecocash.

As shown in Figure 27, mobile money adoption increases with business size, up to a point where it declines among medium enterprises, which exhibit the lowest proportion rate at 27%. The lower uptake of mobile money among medium enterprises may be due to the high uptake of bank products, at 97%.

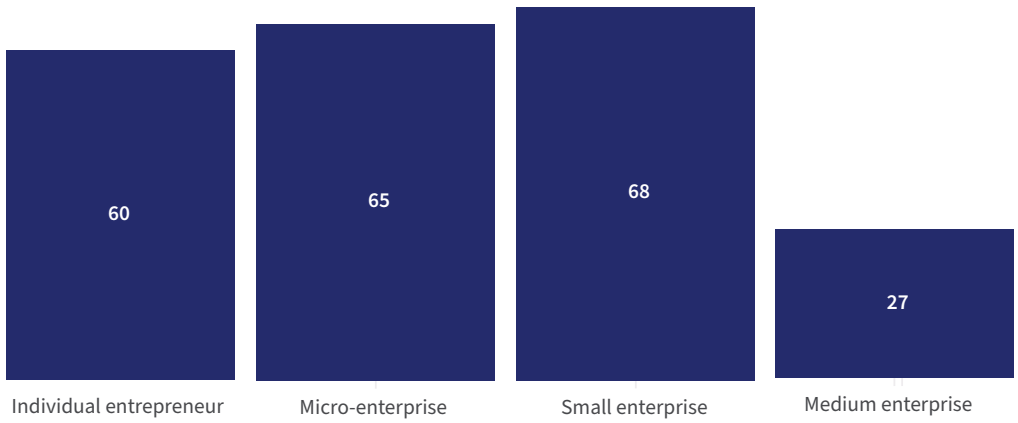


Figure 27: Mobile money account ownership among MSME owners (%)

Access to credit

Despite progress in financial inclusion, credit access remains limited. Financial institutions (banks) in Lesotho tend to be risk-averse and consider most MSMEs to be risky by nature. The revised Lesotho MSME policy 2021-2026, under its strategies, aims to improve the availability of and access to affordable credit for MSMEs in Lesotho. This priority area entails helping women and youth obtain loan schemes from banks and other financial institutions that are specifically tailored to their needs.

There is also an inherent need to widen options for MSMEs, vulnerable groups, and farmers to access finance and other financial services that support productivity and resilience and address issues of risk, given that MSMEs are generally considered risky borrowers by lending institutions.

To improve credit, the government, through the NFIS II, aims to 'strengthen mechanisms to enhance MSME access to financial services' by reviving the previous partial credit guarantee schemes and exploring viable alternatives to serve the unbanked, such as involving BEDCO or introducing a new scheme.

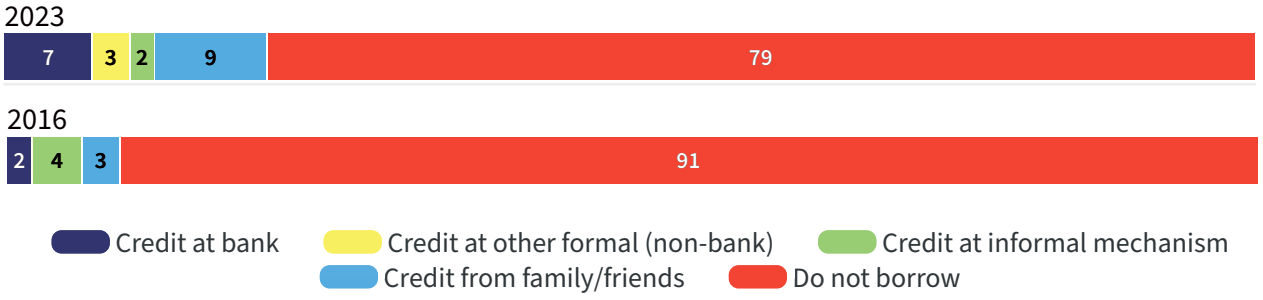


Figure 28: Credit Strands for MSME owners (%)

The study compared MSME owners' access to credit across gender and size categories. Comparison is made along with access to credit from a bank, other formal (non-bank), informal and family and friends. Figure 29 illustrates that access to bank credit increases with firm size. While 33% of medium enterprise owners accessed bank credit, only 9% of micro-enterprises have access to bank credit, and substantially less for individual entrepreneurs (3%). Small business owners have the highest bank credit of 43%, while on average, only one in 10 obtained formal (non-bank) credit.

The percentage of people excluded from the credit market has dropped from 91% in 2016 to 79% in 2023. Importantly, it is key to observe the role the informal sector plays in this regard, specifically savings and credit groups and moneylenders. Since informal financing is usually quicker, more flexible, and more convenient, MSME owners may find it appealing, although it does have two significant drawbacks. Firstly, since informal loans are often smaller in size, they are more frequently used to fund operations (working capital) than expansion. Secondly, unofficial lenders destroy small businesses' profits with their excessively high loan rates. Individual entrepreneurs have the lowest access to formal credit (14%) and therefore, rely on informal mechanisms (33%).

Access to credit by gender shows that gender disparities persist, with female entrepreneurs facing significant barriers to formal credit access. Female entrepreneurs are more likely to borrow from family and friends (10%), while male entrepreneurs have higher access to formal credit (10% bank and 1% non-bank).

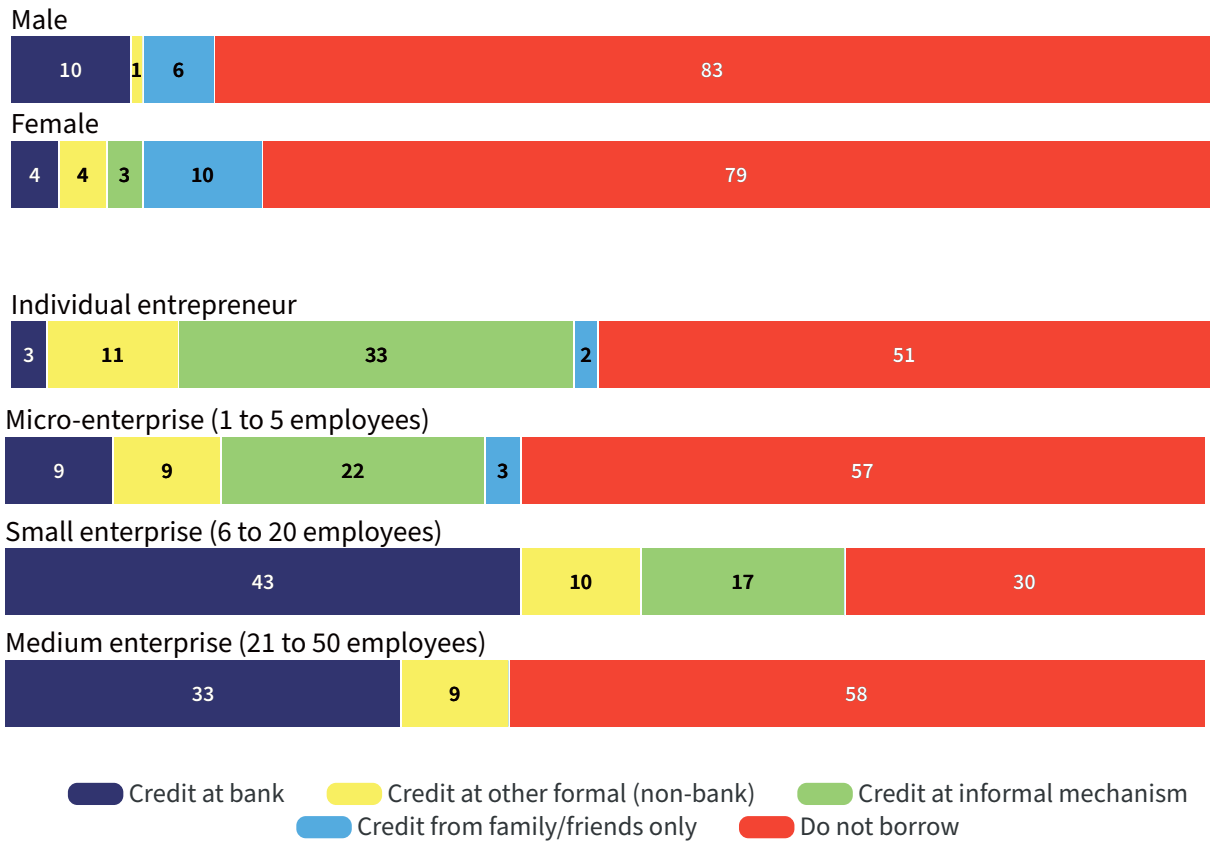


Figure 29: Credit Strand by gender and by MSME size (%)

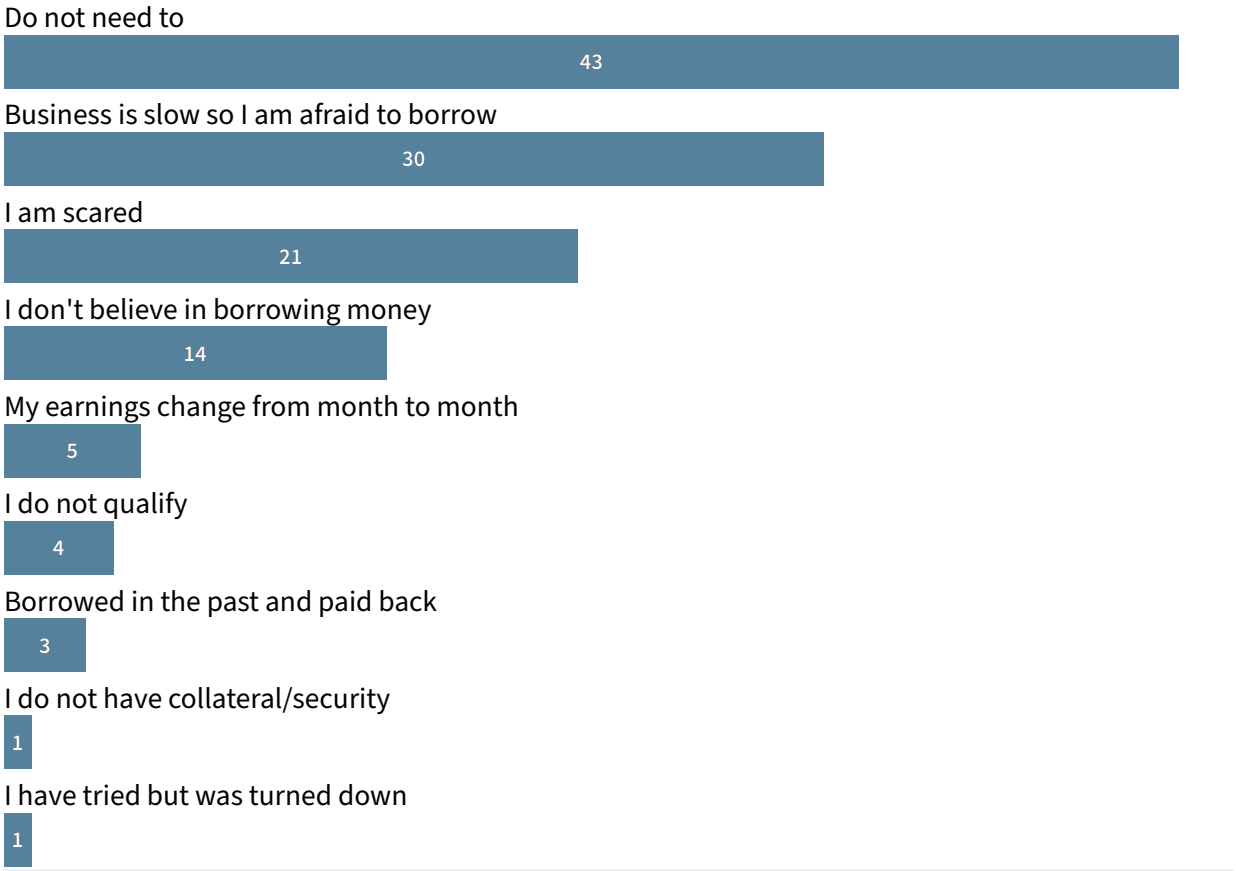


Figure 30: Barriers to credit (%)

Figure 30 above shows that demand-side barriers, such as lack of need, fear and uncertainty, are the primary reasons for not borrowing, accounting for approximately 85% of responses. In contrast, supply-side barriers, such as lack of collateral or loan rejections, play a relatively minor role, accounting for around 7% of responses. These findings highlight the need to address demand-side barriers through financial education, risk mitigation, and promoting a culture of responsible borrowing, which could be a key strategy for increasing access to finance through credit.

Savings and investment

Access to capital markets and other formal savings and investment platforms, such as Savings and Credit Co-operative Organisations (SACCOs), enables MSMEs to reinvest retained earnings in formal enterprises, thereby increasing funds available for investment or credit. However, it is important to note that most businesses are seen as investment mechanisms. Since the majority of MSMEs self-fund their growth and working capital, their access to savings and investment products is essential to ensuring that they have money available for future needs. As shown in Figure 31, 32% of MSMEs save with formal financial institutions, of which 15% save at banks only. The rest of the MSMEs either save informally or do not save at all.

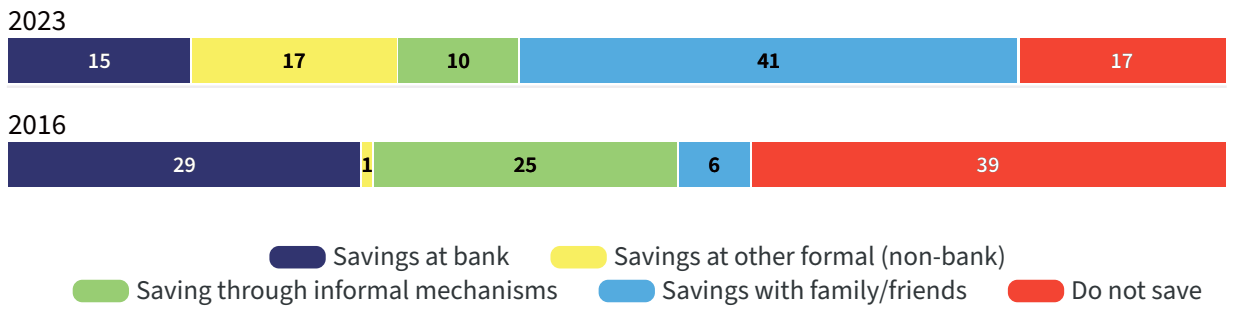


Figure 31: Savings Strands (%)

The Savings Strand shows yet another evolving financial landscape in Lesotho, with individuals exploring alternative savings channels. Formal non-bank institutions are gaining more traction, potentially due to innovative products or improved accessibility. This has resulted in a decrease in savings at the bank, from 29% in 2016 to 15% in 2023. However, overall savings have improved.

The percentage of MSMEs not saving has decreased from 39% in 2016 to 17% in 2023. Despite this, the majority of MSMEs continue to rely on informal mechanisms, such as savings with family and friends (41%).

The main barrier to businesses not saving is the lack of excess funds, with most enterprises reporting to be struggling (75%) or worse (6%). The main reasons cited by those not saving include not earning enough to save (86%) and reinvesting all money back into the business (26%). Reinvesting in the business is a common practice to sustain or expand the enterprise. Therefore, the primary obstacle for businesses not saving is the lack of excess funds.

Insurance and risk mitigation

The NFIS II comprehensively documents the operational and financial risk profile of MSMEs. It emphasises the need to improve products for smallholder farmers and bolster climate risk management resilience, particularly through the promotion of relevant insurance products. The strategy aims to catalyse the development and scaling of insurance mechanisms for the agriculture sector, including crop and livestock insurance, climate risk insurance, and disaster risk insurance mechanisms.

Figure 32 illustrates the low uptake of insurance products, highlighting the evident lack of risk mitigation capabilities among Basotho MSME owners. It is imperative to put this policy action for farmers into effect. Incorporating insurance and risk mitigation strategies into the MSME sector is crucial for building resilience, especially in the face of financial, operational and environmental risks and challenges. This emphasises the high vulnerability of MSMEs to operational or other risk events.

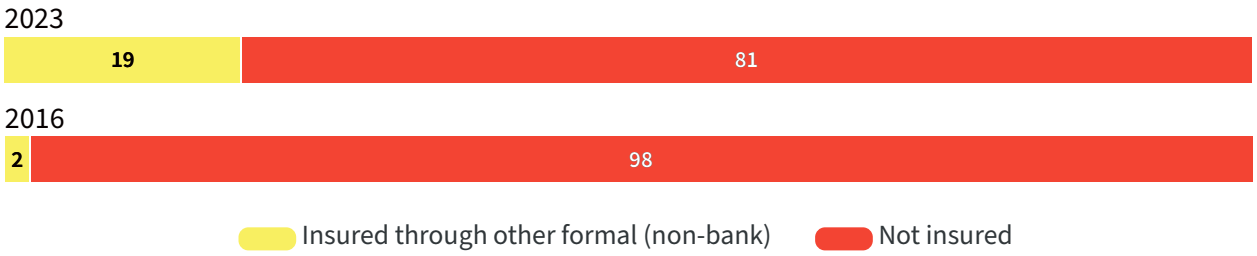


Figure 32: Insurance Strands (%)

MSMEs that use financial services and products have a wide range of risks that add to their total risk profile. The risks MSME owners face include theft of business stock, rain damage, and not being paid by creditors on time, all averaging about 12%. Although the overall uptake remains relatively low, there has been a significant 17% increase compared to the base year. This rise can be partly attributed to 38% of business owners using personal insurance coverage that is not in the business's name for business purposes.

Since most MSME business owners are sole proprietors and operate informally, risks can easily extend to the household, severely affecting their livelihoods. The majority of risks facing the sector are insurable, and the uptake of insurance is improving, albeit primarily at a personal level. Most individuals with insurance are covered personally, and the business risk remains largely uninsured. The main barriers to insurance, similar to banking and credit, remain largely unchanged.

Figure 33 shows that the main barrier is the perceived cost of insurance, and its relevance (perception) compounded by the lack of information on how to obtain insurance and the types of insurance that are relevant to MSMEs.

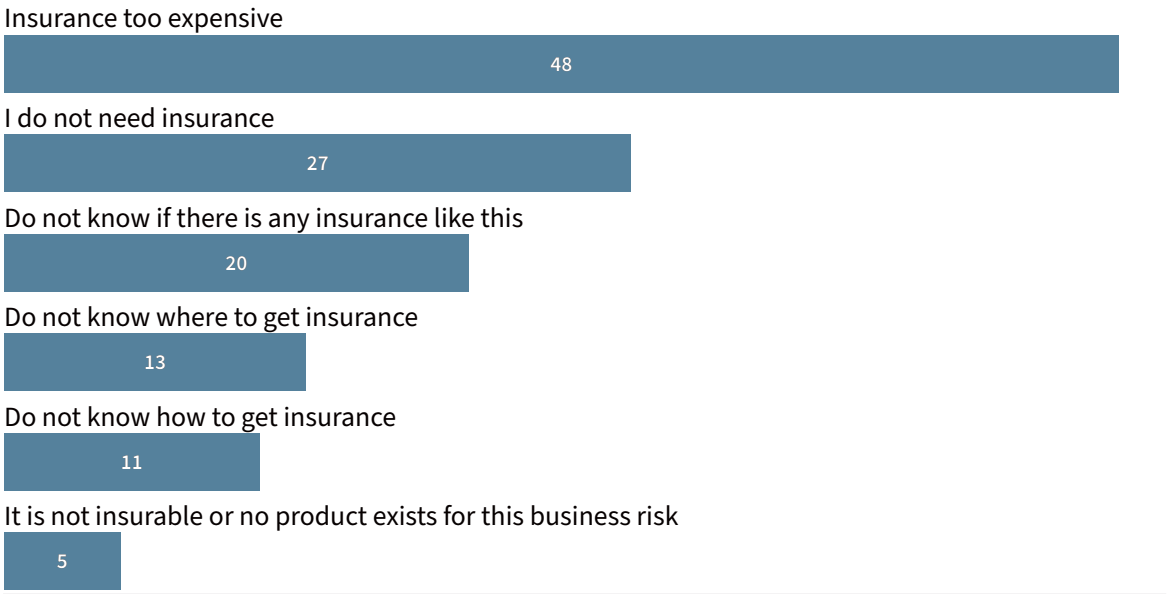


Figure 33: Barriers to insurance (%)



MSME Financial Health

Financial health is a multifaceted concept gaining global attention, encompassing various dimensions beyond a simple "healthy" or "not healthy" dichotomy. It represents a spectrum of financial positions and vulnerabilities. For individuals and households, financial health is relatively easy to define, involving the ability to manage current obligations and expenses smoothly and having future confidence. While defining financial health for a consumer or a household is conceptually clear, when applied to businesses, this concept poses a greater challenge. FinScope measures consumers' financial health using four key parameters: (i) the ability to manage day-to-day financial transactions, (ii) taking advantage of opportunities, (iii) resilience against shocks, and (iv) having control over one's financial decisions. By assessing these parameters, the financial health index provides a comprehensive understanding of individuals' financial well-being, enabling targeted improvements and enhanced financial stability.

Conventionally, the financial health of a business is assessed by four primary areas of financial activity: (i) liquidity, (ii) solvency, (iii) profitability and (iv) operating efficiency. Of the four, the best measurement of a company's health is likely the level of its profitability, although when it comes to small businesses, short-term profitability may be less important than liquidity, according to a 'Guide to Measuring Small Business Financial Health' report . A holistic view of small business financial health extends beyond profitability to encompass factors such as stability, revenue potential, and the broader business context. Although it is nearly impossible to operate a financially healthy small business without a solid underlying business activity, it is possible to have a functional business operating in an unhealthy way. In the case of the latter, traditional financial indicators alone would not reveal these underlying problems, as they focus narrowly on financial success.

In reality, MSME financial health requires considering both financial and non-financial factors, including operational efficiency, management quality and sustainability. A comprehensive assessment must look beyond profitability and liquidity to identify potential vulnerabilities and areas for improvement, ensuring the long-term viability of the business.

Defining MSMEs' financial health

As a new concept, "MSME financial health" still lacks a universal working definition. Despite this, researchers have made significant strides in understanding the concept of MSME financial health. Extensive studies have identified key determinants and developed robust measures to capture relevant data. According to the Framework for Understanding the Financial Health of MSME Entrepreneurs report, there has been excellent work in examining entrepreneurial attitudes, business owners' financial capability, growth drivers and performance indicators. Given the progress to date, there still remain shortcomings of the work; it has been the relative lack of surveys that seek to capture a holistic understanding of MSME financial health in one place .

Lesotho MSME financial health indicator

FinScope Lesotho MSME 2023 survey adopted the Financial Health Network (FHN) framework , which defines "financial health" as a situation whereby the daily systems of a small business help it build resilience and take hold of opportunities. This definition encompasses two crucial aspects of financial health: the ability to withstand adverse conditions and survive tough times, and the ability to grow and expand in response to market opportunities. According to FHN, a small business is financially healthy when it effectively manages its financial matters, maintains sound financial systems, plans and manages cash flow, takes measures to protect against risk, and has access to diverse financial resources (see Figure 34).



Figure 34: MSME Financial Health Framework

Computing the FinHealth index

Developing the financial health indicator involves two steps, in which the score is computed by aggregating all the scores and transforming the scores into percentages using the following steps:

- Financial Health Score = Manage + Plan + Capital
- Financial Health Index = FHS x (100 x FHS)

The financial health indicator is based on 11 behaviour indicators including how MSMEs managing financial obligation, maintaining cash reserves, financial management system, financial reporting and analysis, working capital management, planning for significant business risk, cash flow variability, access to appropriate insurance, access to affordable timely credit, sustainable debt load and access to investment capital. Figure 35 demonstrates scores allocation, defined segments and size of the segments.

Extremely financially vulnerable	Financially vulnerable	Financially coping	Financially healthy
0-24	25-49	50-74	75-100
Health scores between 0-24. A firm is financially unhealthy and should embark on a programme to improve its financial and market situation as its survival may be at risk in the short or medium term.	**Health scores between 25-49.** A firm is in poor financial condition that may be a result of weak financial indicators, poor financial management, or market conditions.	**Health scores between 50-74.** A firm enjoys good financial health that offers a substantial cushion against unpredicted events, but there are elements which could be improved.	**Health scores between 75-100.** A firm shows high levels of financial stability and market resilience; it appears to be financially well-managed and has a solid market position. These MSMEs scored nearly all or all of the 11 sub-indicators.

Figure 35: MSME Financial Health scoring and segments

According to FinScope Consumer 2021 report, Lesotho has achieved notable advancements in enhancing the financial well-being of its citizens (FinHealth Individual) – a significant 67% of adults were better equipped to manage their finances effectively, balance income and expenses, seize economic opportunities, and make informed financial decisions. However, the picture for MSMEs is different, with 75% of the businesses being vulnerable. Figure 36 reveals a concerning financial health landscape for MSMEs, with a pyramid-shaped distribution. At the base, 9% of MSME owners (10,000) are extremely vulnerable, while approximately 66% (71,275) are financially vulnerable. Only 25% of MSMEs are financially coping or healthy, having met most or all of the 11 financial health indicators, including managing obligations, risk planning and access to investment capital. Particularly, significant disparities exist across demographics and formality. Women-owned MSMEs are more financially vulnerable (81%) than those owned by men (69%), largely due to smaller business size and informality. Furthermore, formal MSMEs exhibit greater financial health (80% of 4,000), whereas informal businesses are predominantly financially vulnerable (82%). These findings highlight the need for targeted support and interventions to address the financial health gaps among MSMEs, particularly those owned by women and operating informally. The next section demonstrates how the framework can produce better results.

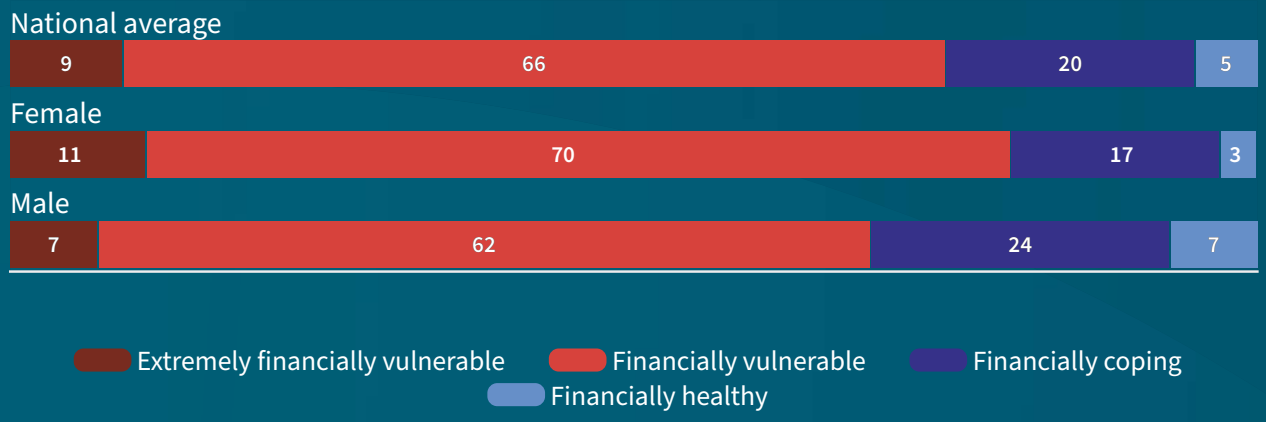


Figure 36: MSME Financial Health levels

Applying the MSME FH framework

The indicator and its segments allow for the identification of businesses that are healthy and those that are not healthy, and the inclusion of exogenous and endogenous determinants of success can assist these entities in identifying areas in which MSMEs need support.

The financially healthy businesses indicator can also be segmented, which could serve as a means by which FSPs could offer the most beneficial products to MSMEs. A simple segmentation would be identifying stability-oriented and growth-oriented entrepreneurs by using the opportunity and goals questions included in the framework. Stability entrepreneurs may benefit especially from an insurance product to ensure their resiliency to economic shocks, while growth-oriented entrepreneurs are more likely to need influxes of capital (among other resources) to scale their businesses.

The importance of tracking financial health

Tracking the financial health of a small business is important for various stakeholders, including:

- For business owners and entrepreneurs, it provides a more comprehensive picture of the company's standing beyond simple financial ratios, which, in the case of a small business, do not always adequately represent the financial standing of the firm.
- For FSPs, it provides a richer perspective to inform lending decisions and helps overcome informational asymmetry, as small businesses remain informationally opaque to external investors and debt providers.
- For local communities, financial health indicators provide a snapshot of the state of their small businesses and their resilience and growth potential, and consequently, the health of the local economy.
- For policymakers, financial health information means developing better policies to support an enabling environment for small business development.





Conclusions and Implications for Stakeholders

Lesotho's MSME sector is essential to the country's achievement of SDGs 3, 8 and 9 and other sustainable development goals, including poverty reduction. Thoroughly considered actions can assist the nation's MSME sector in realising its maximum potential by tackling the sector's challenges. This study presents examples of several interventions that address these challenges, especially those facing the sector's female-led enterprises, and promote young employment by reducing the sector's risk to attract more capital. Key interventions include the provision of information and formalisation of business and infrastructure development.

The conclusions from the study are presented in this section, along with the implications for stakeholders.

Conclusions

Based on a descriptive analysis of MSME owners' profiles, business characteristics and obstacles, the study has come to the following conclusions:

- The bulk of businesses are in the start-up phase (0-2 years in operation). The analysis indicates that MSME firms are growing, not only through the expansion of existing firms but also through the emergence of new firms, as seen in the larger proportion of start-ups in 2016. However, a decline in the growth stage suggests difficulties in scaling up. Similar to 2016, around 40% of MSMEs have been in business for six years or longer. This pattern also indicates a stagnation of MSMEs at this phase. This stage of a company's lifecycle requires extra consideration for growth and assistance.
- Cash remains king. Even with the increasing use of mobile money, cash remains the dominant payment method, accounting for 99% of transactions and 83% of employee payments. DFS play a crucial role in driving economic growth by significantly improving the efficiency, accessibility, and safety of MSMEs. The shift towards DFS has the potential to empower MSMEs and strengthen a more resilient and dynamic MSME sector.
- The wholesale and retail sector remains the primary operating domain for the majority of MSME business owners, i.e. they sell something, particularly agricultural products, operate the agricultural/farming sector and render business services, e.g. professional services or community and household sector.
- More than half of business owners are dependent on their business as the primary source of income. Looking back at 2016, there was a decrease in business owners relying on their businesses as their main source of income. This change may be attributed to the impact of external shocks and the volatility caused by the Covid-19 pandemic and the spillover effects of the Russia-Ukraine war. However, there were more MSME owners in 2023, making a 41% increase in the number of small businesses since 2016. This growth may be due to the use of a new methodology that sampled more business units, which is likely to capture more businesses in one area (a single business block with multiple businesses) rather than focusing solely on households. However, the data shows that 43% or 46,341 businesses were started during and post-Covid-19 pandemic.
- The sector is still a livelihood for a higher number of females, who are more likely to own micro-enterprises and less likely to own small and medium firms. About two-thirds of MSME owners are women, but most run micro-enterprises (80%), compared to 59% for men. Also, proportionately fewer women own SMEs. This calls for the provision of training programmes tailored to MSME owner women to enable them to grow their businesses as well as to understand the gender roles that directly affect the amount of time women dedicate to growing their businesses.
- One-third of the MSME owners are youth: While this is comparatively low across the region, young entrepreneurs constitute 33% of MSME owners in Lesotho, which shows the sector's potential in alleviating youth unemployment and its contribution to the government's effort of promoting the economic empowerment of young people in Lesotho. Moreover, it implies that the MSME support framework needs to be strengthened to better serve young entrepreneurs who may not have much prior business experience.

- Higher proportion of formal MSMEs: Nearly one-quarter of MSMEs are formal, with either being registered or licensed (24%), up from 18% in 2018. The higher proportion is largely attributed to direct efforts by the government to register businesses like the One-Stop Business Facilitation Centre.
- A substantial growth was recorded in the manufacturing sector. The manufacturing share of total MSMEs nearly doubled, from 9% in 2016 to 17% in 2023. The manufacturing sector is a critical contributor to economic transformation. The sector's growth demonstrates progress toward industrialisation and economic development.
- Access to finance is the most binding constraint for both operation and growth. The main challenges faced during both the operational and growth phases relate primarily to obtaining funds and accessing finance. Access to finance encompasses various factors such as the cost of finance, accessibility, collateral, and potential discriminatory practices. Work is needed to address the finance gap mentioned in this report, as well as the NFIS II.
- Financial access to products and services is high, but the landscape is changing. While the MSME financial landscape was predominantly led by banking, the study found a lower proportion of business owners having bank accounts and more taking up mobile money services. This trend is common in the region where the flexibility, convenience and cost of mobile money are perceived to be drivers towards mobile money. Increased mobile phone ownership is also a driver, which has attracted banks to develop mobile wallets to join the mobile money market.

Implications for stakeholders

Based on conclusions drawn from the analysis, the study offers the following policy recommendations for policymakers and the private sector. The Lesotho Revised MSME Policy and the NFIS II address the points discussed below.

Recommendations for policymakers

- Size matters; revision of the number of employees and turnover variables to define MSME size. While the current policy is adequate to define MSME size using the three aforementioned variables, it is key to have these parameters further refined using the current study. For instance, the difference between micro- and small enterprises can be reviewed using statistical analytical tools to identify natural breaks in the data, which may result in more data-driven definitions.
- The MSME sector in Lesotho has seen growth due to government promotion, although the outcomes have been mixed. The government recognises that all stakeholders, including NGOs, development organisations, and the commercial sector, need to be involved to develop a thriving MSME sector, as outlined in the NDP and other strategies. According to this study, the Lesotho government should continue to take the lead in fostering the growth of the MSME sector and serving as the central hub for all related activities.
- A creative approach to creating jobs: The sector can produce more meaningful and sustainable jobs. As the study has demonstrated, concentrating on the development of jobs in the tourism, agricultural, and wholesale/retail sectors through small and medium-sized businesses is likely to result in a greater number of jobs. Segmenting these businesses to better understand the particular difficulties they face will probably lead to more resilient and flourishing enterprises. More markets and consequent demand for regional goods and services would arise from addressing export issues, such as standards and certification, that certain agricultural and agro-processing sectors face.
- Upskilling for a greener tomorrow: Many MSMEs still lack the knowledge and the technical expertise to implement and manage green technologies. It is important to capacitate MSMEs with the tools and knowledge essential to furthering

a green economy and inclusive participation in a low-carbon economy. This support can include financial incentives for MSMEs that adopt green technologies, access to training and resources for adopting eco-friendly technologies, and assistance with navigating relevant regulations and standards. By doing so, MSMEs can reduce their environmental impact, improve their operational efficiency, and contribute to a more sustainable future for all.

- Addressing formalisation as business enhancement and not as compliance. It is important to consistently work on raising awareness about formalising MSMEs and have information campaigns highlighting the significance of formalisation, such as access to markets and other benefits. Some experts believe that a significant number of businesses may not see the need for or be able to take advantage of formalisation benefits. Therefore, governments aiming to boost economic growth should focus on reducing registration costs, changing the negative perception of complying with regulations, and promoting the benefits of formalising, along with implementing measures to increase direct interaction with formal financial institutions as a compelling option.
- Scaling-up strategies: One of the main challenges identified relates to the distribution of businesses by age. The study shows a dynamic entrepreneurial environment with a growing number of start-ups, but a lack of growth in older businesses. While new businesses are entering the sector, there is a need for programmes to support start-ups in progressing to the growth and established stages of MSMEs. Additionally, established businesses should be encouraged to develop better succession plans.
- Reduction and mitigation of risks: Developing a contingency plan for unforeseen disruptions, such as natural disasters or economic downturns, is of utmost importance. The Covid-19 pandemic shed light on several underlying issues in the sector – there needs to be funds and other forms of assistance, like tax breaks, and relief packages, put in place to be used in such instances. It was observed that government grants were unable to reach the intended beneficiaries, indicating the need to address these challenges to ensure a more effective response to future shocks.

Recommendations for the private sector

- Women and youth mainstreaming: The revised MSME Policy in Lesotho acknowledges the imperative of prioritising women, youth and vulnerable groups within the sector. The private sector needs to accommodate these target groups in their product offerings and should provide customised financial solutions. This underscores the significance of a segmented strategy that is carefully tailored to match the development and operational requirements of each sector. It is recommended that a workshop with key private sector players be held to understand key segments and themes, which will assist in better product development.
- Financial literacy and technology adoption for business owners: The adoption of technology, such as digital payment systems, stock tracking systems, and e-commerce platforms, can enhance the efficiency, productivity and decision-making processes for MSMEs. The commercial sector also creates and funds programmes for business and financial education. However, these programmes are primarily aimed at certain growth categories that generate profits for the private sector, leaving out a significant percentage of this sector. In the short to medium term, it may be beneficial to consider programmes that aim to expand the sector for long-term mutual gain as an example of corporate social responsibility. This would provide entrepreneurs with the knowledge and resources they need to manage their companies legally and sustainably. Digital financial literacy is rapidly becoming an important aspect of consumer empowerment, addressing a gap in both research and knowledge for business owners.
- Expanding the range of financial services and products offered to the sector: Financial institutions (banks) in Lesotho are generally cautious and perceive most MSMEs as risky borrowers due to their nature. As a result, there are currently few financial instruments available for start-ups and small businesses with low monthly income. The model used by mobile money business accounts to reach out to smaller businesses and close the financing gap has increased the role of these institutions. The industry requires more products that address cash flow, equipment financing, resilience, and mitigation and that take into consideration the unique financial requirements of the vast majority of sector business owners. The data that can guide product development through a segmentation of the MSME market is now in hand, and a workshop on this can be of great value to stakeholders from both the public and private sectors.

- Supply chain development: Larger enterprises must play a key part in MSMEs' development by introducing them to best practices and integrating them into high-value, sustainable chains. Improving MSMEs' productivity or the calibre of their goods and services would increase their access to markets, reduce costs, and improve quality control. Developing supplier development programmes, establishing industry-specific supply chain associations, and promoting local sourcing initiatives can enhance MSME competitiveness and help them access and advance up the value chains. The goal of such initiatives is to upskill MSMEs through mentoring and capacity building.



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